Annual Report 2012

General Insurance Association of Singapore

Head, heart and hands

Financial Statements for the year ended 31 Dec 2012

Statement of Financials

The reviews for an extraordinary period of accomplishments are in. The culmination of a sterling year noted for a laudable lineup of activities and events aimed at educating, informing and engaging our stakeholders, business associates and future talent pool. Inspired by the learning theories of educational psychologist Benjamin Bloom, we embraced 2012 with our Head, Heart and Hands.

Matched with the unwavering dedication and passion of those who choose to serve through GIA, we continue to successfully put in place the best people, environment and practices that will nurture and grow Singapore's General Insurance industry into the future. While the accolades are tremendous, we are equally proud to let the results speak for themselves.



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General Insurance
Association of Singapore

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Our exemplary achievements are only possible with their combined wisdom, expertise and vision. Meet the distinguished laureates behind GIA's strategic direction and management, and gain precious insight from their thoughts on the year past and projections ahead.

Head

Heart

Heart

Hands

Derek Teo

President's Message

Our industry's strength and resilience was once again put to the test in 2012 and I'm glad to note that the domestic General Insurance industry passed with a notable score: total gross premium growth of 5.41% to $3.34 billion, net earned premium growth of 6.47% to $2.35 billion, and an underwriting profit increase of 15.99% to $288.21 million. The Singapore economy's growth may have slowed to only 1.2% in 2012 from 4.9% in 2011, but the domestic General Insurance industry has kept a steady beat and even surpassed the growth we posted in the previous year – giving us seven consecutive years of favourable performance.

Our industry's strength and resilience was once again put to the test in 2012 and I'm glad to note that the domestic General Insurance industry passed with a notable score: total gross premium growth of 5.41% to $3.34 billion, net earned premium growth of 6.47% to $2.35 billion, and an underwriting profit increase of 15.99% to $288.21 million.

While the industry's overall premium growth and underwriting outcome may have remained consistent, some changes were afoot, manifested by the performance of the various classes of business in 2012. Although the traditional segments continued to have the bigger shares of the premium pie (with Health leading the growth in net earned premiums with a 21.31% increase), most specialty lines have kept up their growth and posted increasingly impressive results. Bonds reported the second highest increase in net earned premiums at 12.79%, followed by Professional Indemnity at 11.84%. Another specialty line, Credit Insurance, took home the highest profit increase at 1596.23%.

On the other hand, Cargo and Fire saw declines in their net earned premiums; while Hull grew 11.51%, Work Injury Compensation (WIC) 10.93%, Personal Accident 8.41%, and Motor 3.96%.

Underwriting Performance Kept its Momentum

The fact that the underwriting result had maintained its momentum, growing 15.99% following a year of impressive 25% increase, showed that the industry's efforts to maintain underwriting discipline and stable pricing are paying off.

Most of the lines of business reported robust underwriting performances, with Motor posting the second highest profit at $50.36 million, an increase of 135.12%. Public Liability came next with $24.65 million, up by 93.10%.

Health remained on the path of underwriting strength, making a profit of $14.05 million, a robust increase of 66%. Another up-and-coming specialty line, Professional Indemnity, saw its underwriting profit climb 25.15% to $17.95 million, following its record 688.7% profit increase in 2011. Bonds also made a strong showing with underwriting profit shooting up 18.34% to $29.80 million.

Cargo and Hull also enjoyed healthy increases, with Cargo posting an underwriting profit of $33.59 million, up by 16.15%. Hull's gain stood at $13.94 million, a lukewarm increase of 6.42% compared to the 87.4% growth it recorded in the previous year. WIC made a strong comeback with 13% growth in underwriting profit to $5.09 million after posting the biggest slump in underwriting performance in 2011.

Fire, Engineering/CAR/EAR, and Personal Accident all saw declines in their underwriting profits, with Fire posting a 51.72% decline to $22.85 million. Engineering/CAR/EAR's result dove 21.85% to $4.79 million, while that of Personal Accident's went down 11.99% to $39.61 million.

Emerging Opportunities

The headways made by the specialty lines point to a continuing and growing source of opportunities in our industry. As the Singapore economy continues to attract more diverse types of businesses and companies, the country's business terrain will grow in complexity and sophistication. Inevitably, its risk landscape is also evolving, with more complex and varied risks emerging.

This development opens up opportunities for our industry to respond to businesses' needs to prepare, mitigate and respond to such risks. At the same time, it means we need to step up our technical knowledge, expertise, services and products, as well as communications with clients to understand more deeply their needs and requirements for protection. This requires us to work with our regulators, partners, intermediaries, and other stakeholders to ensure we are able to respond to these needs in a timely and befitting manner.

We at GIA will continue to provide ways for such collaborations, as we did in 2012 through efforts such as organising the Maritime Knowledge Shipping Sessions, the Fire Education Seminar and the inaugural Combating Insurance Fraud Seminar; and establishing the GIA Fraud Committee.

More Specialist Insurers in the Market

The rise of opportunities to cover emerging risks in Singapore was manifested by the recent entry of new specialist insurance companies. German specialist insurer, HDI-Gerling Industrie Versicherung AG, and US-based health insurer, Aetna Insurance (Singapore) Pte. Ltd., have both set up shop in the country in 2012.

Starr International Insurance (Singapore) Pte. Ltd. has also opened a unit in Singapore to conduct direct insurance and reinsurance businesses. All three companies have since become GIA members.

These new member companies demonstrate that even with the domestic market's increasing maturity, Singapore continues to attract regional and global investors looking to either enter the market or invest to secure their current position.

Code Review for Better Industry Practice

One major initiative GIA started in 2012 was the review of the Singapore General Insurance Code of Practice (COP), a decision the Management Committee made in the wake of an increasing volume of feedback in the handling motor and travel insurance claims. In 2012, GIA conducted a survey of member companies to establish the need to fine-tune the COP and identify specific areas of improvement. We expect the survey's findings, due for release in the first half of 2013, to provide us with useful

information in monitoring members' compliance with the standards and to recommend improvements to customer service.

GIA formed the Committee on Enhancement of Standards in the General Insurance Code of Practice in 2003. Prior to that, a Code of Practice Committee was set up to monitor the progress and implementation of the COP. Since formalising these two initiatives, GIA has carried out four industry surveys and proposed amendments to the COP. With the latest survey, we expect to propose further changes to the Code to ensure its relevance in today's business environment, and that it continues to help our members meet the more rigorous demands of their customers.

Industry Needs to Respond to Opportunities

As Singapore continues to develop more sophisticated and complex businesses, our industry should tap these opportunities, both new and recurring. We at GIA will continue to lead our industry in keeping abreast of these changes and ensure we grow in importance to our clients and the society at large. We will need every member's cooperation and support to do so, and for the many initiatives we have lined up to help our industry progress.

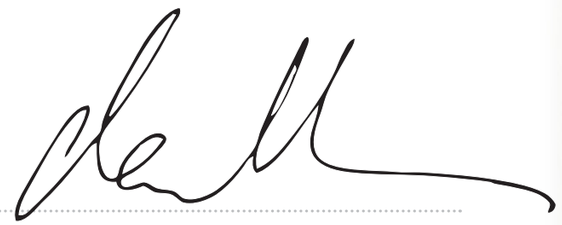
Long Road Ahead

As we look back on another year of good business and growth, on behalf of GIA, I would like to convey our deepest thanks to everyone who has helped us mark another successful year of initiatives, collaboration, and knowledge sharing. Our gratitude goes to our members and associates for the support they have given us and our various undertakings in 2012. As President, I could not have fulfilled my responsibilities were it not for the hard work of the GIA Secretariat. The energies and passion they have put into ensuring GIA's dynamism never fail to make me proud to be part of such an excellent team.

To my fellow Management Committee members, thank you for your commitment to a strong leadership and for your support in pioneering our industry's development.

In building a stronger and more responsive General Insurance community, we still have a long way to go. But we have proven time and time again that we are united and have a strong camaraderie. For that, let us unite and make our industry the best that it can be.

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Derek Teo
President

I am proud to say that these were not merely discrete initiatives, but efforts that supported our objective to enhance the development of the Singapore General Insurance industry and shape its role in the society.

Mark Lim

Executive Director's Message

2012 was a year of significant initiatives for GIA. I am proud to say that these were not merely discrete initiatives, but efforts that supported our objective to enhance the development of the Singapore General Insurance (GI) industry and shape its role in the society.

Foremost among these initiatives in 2012 was our effort to shed more light on the problem of insurance fraud for our member companies, partner agencies and customers. To this end, we organised the first Combating Insurance Fraud Seminar in July, an event strongly supported by the industry and our regulator, the Monetary Authority of Singapore.

We wanted to learn from other countries in tackling this supposedly "victimless crime", so we invited speakers from the US (including top officials from the National Insurance Crime Bureau, International Association of Special Investigation Units and Coalition against Insurance Fraud) and Europe to share their expertise and experiences in combating insurance fraud. It was an eye-opening event for us as we learned of the problem's magnitude in other countries and the need for prompt response in our own market. It also strengthened our determination to tackle this issue more systematically and effectively.

In line with this, GIA has set up an insurance fraud committee to ensure our efforts are holistic, structured, and well planned. Headed by Mr. Martin Bridger, the committee will make recommendations to the Management Committee on the best ways to address the problem.

Added Customer Protection Through Agents' Identity Card
Another step taken by GIA in 2012 was to help build a stronger culture of transparency and accountability among our intermediaries by launching the Agent Identity Card (AIC). Effective from 1 January 2013, agents of member companies need to obtain an AIC to be able to conduct business with clients.

This will give customers added protection when purchasing General Insurance products and help boost their confidence further in our industry. We have so far issued around 8,500 cards which will be valid until 31 December 2013.

Continuous Talent Building
We ended another successful year in our talent building efforts, with 27 Global Internship Programme (GIP) interns successfully completing their stint at 22 participating companies. Since its launch in 2008, the GIP has produced 131 interns, with 28 of them having joined our industry as full-fledged employees.

Our Talent Outreach Project remained steadfast in its objective to boost the industry's profile and highlight career opportunities in the GI industry. We conducted career-profiling talks at a local university and a junior college, and launched the "Insurance Leaders Talk" series to draw the interest of graduating students.

On top of these, we participated in a networking event held at another local university where we touched base with at least 250 undergraduates. We also held career fairs at two other universities to raise students' awareness of the GI industry and, with the help of some of our former GIP interns, give them a clear view of their career options.

One With The Region
Outside Singapore, we participated in the 26th East Asian Insurance Congress (EAIC) in Kuala Lumpur, which was also the Congress' 50th founding anniversary. Through our President Derek Teo, GIA presented the 2011/2012 highlights of the Singapore insurance market, and took part in discussions aimed at charting the future of the EAIC and its role in the East Asian insurance industry.

We also flew to Bangkok in December 2012 for the 38th ASEAN Insurance Council (AIC) Meeting, where we participated in the discussion of various issues facing the ASEAN insurance industry, particularly the impending economic integration of the region scheduled for 2015. Before this, we attended the AIC Secretariat's mid-year meeting in Singapore in May as a follow-up to the 37th council meeting that Singapore hosted in 2011.

Game On for GI Day
We celebrated GI Day 2012 on 19 October with much verve and gusto playing "The Great GIA Futsal Fever" game. It was a day of friendly competition, good fun and bonding for the 16 competing futsal teams as well as other industry representatives. Just as important, it was a time of giving back to society as we raised $10,000 for the ASSISI Hospice.

Teeing-Off for a Good Cause
Still on the subject of giving back, the GIA "Swing for Charity" golf game once again raised a sizeable sum of more than $120,000 for our two chosen charitable organisations: the Kidney Dialysis Foundation and the Singapore Cancer Society. Over the past seven years, this golf charity event has raised more than $760,000 for the benefit of a number of charitable organisations in Singapore.

In a strong show of support, around 140 industry professionals joined us for the tee-off at Tanah Merah Country Club's Garden Course.

Stronger with New Members
GIA is now stronger than ever with 37 ordinary members. Three new international players in Singapore joined us in 2012: Aetna Insurance (Singapore) Pte. Ltd., HDI-Gerling Industrie Versicherung AG Singapore Branch and Starr International Insurance (Singapore) Pte. Ltd.

At the same time, one of our members, HSBC Insurance (Singapore) Pte Ltd, transferred its business to AXA Insurance Singapore Pte Ltd in November 2012, following AXA's acquisition of HSBC's Singapore insurance unit. Also, Tenet Insurance Company Ltd had merged with Sompo Japan Insurance (Singapore) Pte Ltd on 1 January 2013 to become Tenet Sompo Insurance Pte. Ltd.

Looking Forward to Doing More
We at GIA are proud of what we have accomplished in 2012. Some of our initiatives are only the beginning of our long-term efforts to shape our industry further and lead our quest to have GI play a bigger role in the Singapore society as a trusted partner and contributor to our economy. There are more that we need to plan and do to realise this aim. With the industry and our member companies behind us, we look forward to another year of fruitful endeavours geared towards the achievement of this goal.

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Mark Lim
Executive Director

GIA's Management Committee is responsible for charting the way forward for the association. The Committee determines the policies, initiatives and activities to adopt, in the interest of consumers and GIA members. The Management Committee gives the GIA the direction it needs to develop the Singapore insurance industry.

Management Committee



Derek Teo

A. K. Cher

Stella Tan

Tan Suee Chieh

Chua Kim Soon

K. K. Chee

Martin Bridger

Andrew Lim

Derek Teo

President



Chartis Singapore
Insurance Pte. Ltd.

A.R. Cher



Tokio Marine
Insurance
Singapore Ltd

Stella Tan



Tenet Sompo
Insurance
Pte. Ltd.

Tan Swee Chieh



NTUC Income
Insurance
Co-operative Ltd

Chua Kim Soon



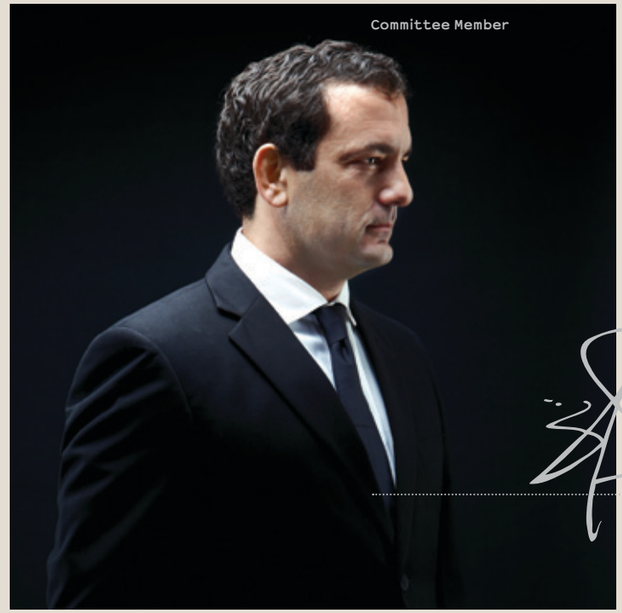
AXA Insurance
Singapore Pte Ltd

K.K. Chee



QBE Insurance
(International) Limited

Martin Bridger



Liberty Insurance
Pte Ltd

Andrew Lim



MSIG
Insurance
(Singapore)
Pte. Ltd.

Secretariat Group

Secretariat Group

Mark Lim
Executive Director
(Up till 29 Jan 2013)

Jimmy Tan
Technical Director

Choo Wai San
Senior Manager,
Finance & Admin

Cecilia Pay
Senior Manager,
Corporate Services

Joycelyn Poh
Assistant Manager,
Corporate Services

Cherie Tan
Executive,
Corporate Services

Sharon Chen
Senior Executive,
Technical

Simon Woo
Executive,
Technical

Giorson Lum
Executive,
Distribution

Helen Lum
Administrator,
Distribution

Surihati Sohaib
Executive,
Finance & Admin

Rosalind Cher
Customer Service
Officer



01

Agents' Registration Board

Chairperson

Ms. Stella Tan
Tenet Sompo Insurance Pte. Ltd.

Members

Mr. Chua Kim Soon
AXA Insurance Singapore Pte Ltd (Until 26 Sep 2012)

Mr. Terence Tan
AXA Insurance Singapore Pte Ltd (From 5 Nov 2012)

Mr. Mike Raines
Chartis Singapore Insurance Pte. Ltd.

Mr. Leow Tze Wen
EQ Insurance Company Limited

Mr. Ronnie Yang
Liberty Insurance Pte Ltd

Mr. Peh Chee Keong
NTUC Income Insurance Co-operative Ltd

Mr. James Yong
QBE Insurance (International) Limited

Mr. A.K. Cher
Tokio Marine Insurance Singapore Ltd

02

Motor Committee

Convenor

Mr. A.K. Cher
Tokio Marine Insurance Singapore Ltd

Members

Mr. Pan Jing Long
Aviva Ltd

Mr. Charlie Neo
AXA Insurance Singapore Pte Ltd

Mr. Sam Tan
Chartis Singapore Insurance Pte. Ltd.

Mr. Andrew Lee
China Taiping Insurance (Singapore) Pte. Ltd.

Mr. Shawn Lim
Direct Asia Insurance (Singapore) Pte Ltd

Mr. Derek Low
Liberty Insurance Pte Ltd

Mr. Warren Tan
MSIG Insurance (Singapore) Pte. Ltd.

Mr. Peh Chee Keong
NTUC Income Insurance Co-operative Ltd

Mr. Alvin Tan
Tokio Marine Insurance Singapore Ltd

Insurance Fraud Committee

Convenor

Mr. Martin Bridger
Liberty Insurance Pte Ltd

Members

Mr. Etienne Costet
AXA Insurance Singapore Pte Ltd

Mr. Charlie Neo
AXA Insurance Singapore Pte Ltd

Ms. Louise Corbett
Chartis Singapore Insurance Pte. Ltd.

Mr. Sam Tan
Chartis Singapore Insurance Pte. Ltd.

Ms. Mabel Choo
Liberty Insurance Pte Ltd

Mr. Andy Foo
Liberty Insurance Pte Ltd

Mr. Miguel Piombo
Liberty Insurance Pte Ltd

Mr. Irving Sequeira
Liberty Insurance Pte Ltd

Ms. Reayun Tan
Liberty Insurance Pte Ltd

Ms. Looi Pek Hong
MSIG Insurance (Singapore) Pte. Ltd.

Mr. Eric Chern
NTUC Income Insurance Co-operative Ltd

Mr. Eddie Loke
NTUC Income Insurance Co-operative Ltd

Ms. Jenny Pe
NTUC Income Insurance Co-operative Ltd

Mr. Peh Chee Keong
NTUC Income Insurance Co-operative Ltd

Mr. Alvin Tan
Tokio Marine Insurance Singapore Ltd

BOLA Review Workgroup

Chairman

Mr. Jimmy Tan
GIA Secretariat

Members

Mr. Charlie Neo
AXA Insurance Singapore Pte Ltd

Mr. Liu Chun Cheong
Chartis Singapore Insurance Pte. Ltd.

Ms. Chee So Chow
China Taiping Insurance (Singapore) Pte. Ltd.

Ms. Mary Nelson
First Capital Insurance Ltd

Ms. Neera Saxena
India International Insurance Pte Ltd

Mr. Eddie Loke
NTUC Income Insurance Co-operative Ltd

Mr. Neo Wee Sim
Overseas Assurance Corporation Ltd

Ms. Sally Tan
SHC Insurance Pte. Ltd.

Mr. Alvin Tan
Tokio Marine Insurance Singapore Ltd

BOLA Adjudicators

Ms. Valencia Lee
AXA Insurance Singapore Pte Ltd

Mr. Dominic Ho
AXA Insurance Singapore Pte Ltd

Mr. Sam Tan
Chartis Singapore Insurance Pte. Ltd.

Mr. Mekavathanan Sarangapani
Chartis Singapore Insurance Pte. Ltd.

Ms. Janice Tay
Chartis Singapore Insurance Pte. Ltd.

Ms. Susan Teo
China Taiping Insurance (Singapore) Pte. Ltd.

Ms. Chee So Chow
China Taiping Insurance (Singapore) Pte. Ltd.

Ms. Mary Aloysia Nelson
First Capital Insurance Ltd

Ms. Novin Siah
First Capital Insurance Ltd

Ms. Agnes Chan
First Capital Insurance Ltd

Ms. Neera Saxena
India International Insurance Pte Ltd

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NTUC Income Insurance Co-operative Ltd

Ms. Jenny Pe
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Mr. Bernard Han
NTUC Income Insurance Co-operative Ltd

Ms. Sally Tan
SHC Insurance Pte. Ltd.

Ms. Wendy Chia
Tenet Sompo Insurance Pte. Ltd.

Mr. Alvin Tan
Tokio Marine Insurance Singapore Ltd

Mr. Jeffrey Tay
Tokio Marine Insurance Singapore Ltd

Members of Committees

03

Work Injury, Personal Accident and Health Committee (WIPAH)

Convenor

Mr. Terence Tan
AXA Insurance Singapore Pte Ltd

Deputy Convenor

Dr. Leow Yung Khee
Overseas Assurance Corporation Ltd

Members

Mr. P K Leong
Liberty Insurance Pte Ltd

Mr. John Brice
MSIG Insurance (Singapore) Pte. Ltd.

Mr. Ng Kok Hee
Royal & Sun Alliance Insurance Plc (Singapore Branch)

Ms. Edna Ngo
Tenet Sompo Insurance Pte. Ltd.

04

Property & Marine Committee

Convenor

Mr. Andrew Lim
MSIG Insurance (Singapore) Pte. Ltd.

Members

Ms. Loke Pui Yee
MSIG Insurance (Singapore) Pte. Ltd.

Mr. Soon Gud Voon
NTUC Income Insurance Co-operative Ltd

Ms. Shirley Ow
QBE Insurance (International) Limited

Mr. Jonathan Ranger
Watkins Syndicate Singapore Pte Ltd

Ms. Karen Chin
Zurich Insurance Company Ltd (Singapore Branch)

05

Regional Development Committee (RDC)

Convenor

Mr. K.K. Chee
QBE Insurance (International) Limited

Members

Ms. Tan Beng Tee
Maritime and Port Authority of Singapore

Ms. Elean Chin Pei Pei
Monetary Authority of Singapore

Mr. Neil Mathison
Reinsurance Broker's Association (Singapore)

Mr. David Chin
Singapore Maritime Foundation

Mr. Christopher Ho
Singapore Reinsurers' Association

06

Special Projects Committee

Chairman

Mr. Chua Kim Soon
AXA Insurance Singapore Pte Ltd

Members

Mr. Raymond Cheung
Chartis Singapore Insurance Pte. Ltd.

Ms. Low Min Ying
Liberty Insurance Pte Ltd

Mr. Questor Ng
NTUC Income Insurance Co-operative Ltd

Ms. Adeline Koh
QBE Insurance (International) Limited

Mr. Amos Chen
QBE Insurance (International) Limited

Mr. Ng Jun Zhe
QBE Insurance (International) Limited

Mr. Tan Cheok Sin
Tokio Marine Insurance Singapore Ltd

Mr. Jim Qin
Tokio Marine Insurance Singapore Ltd

07

Telemarketing Workgroup

Chairman

Mr. Mack Eng
ACE Insurance Limited

Members

Ms. Gretel Quintal
ACE Insurance Limited

Ms. Shek Mee Hwang
ACE Insurance Limited

Ms. Belinda Zhao
AXA Insurance Singapore Pte Ltd

Mr. Eugene Lim
Chartis Singapore Insurance Pte. Ltd.

Ms. Mary Bruce-Kahn
Chartis Singapore Insurance Pte. Ltd.

Mr. Steven Leong
MSIG Insurance (Singapore) Pte. Ltd.

Mr. Chan Tar Seng
MSIG Insurance (Singapore) Pte. Ltd.

Ms. Annie Chua
NTUC Income Insurance Co-operative Ltd

08

Special Risks Pool (SRP)

Chairman

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Chartis Singapore Insurance Pte. Ltd.

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AXA Insurance Singapore Pte Ltd

Mr. Sam Tan
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Mr. Andrew Lim
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Telephone
6222 6001
Facsimile
6222 2557
nipponkoa.co.jp

NTUC Income Insurance Co-operative Ltd
75 Bras Basah Road
NTUC Income Centre
Singapore 189557
Telephone
6336 3322
Facsimile
6338 1500
income.com.sg

Overseas Assurance Corporation Ltd
1 Pickering Street
#13-01
Great Eastern Centre
Singapore 048659
Telephone
6248 2000
Facsimile
6532 2214
oac.com.sg

QBE Insurance (International) Limited
60 Anson Road
#11-01
Mapletree Anson
Singapore 079914
Telephone
6224 6633
Facsimile
6533 3270
qbe.com.sg

Raffles Health Insurance Pte. Ltd.
133 Middle Road
Bank of China Plaza
#02-00
Singapore 188974
Telephone
6311 1331
Facsimile
6311 2396
rafflesheathinsurance.com

Royal & Sun Alliance Insurance Plc (Singapore Branch)
60 Anson Road
#09-01
Mapletree Anson
Singapore 079914
Telephone
6220 1188
Facsimile
6423 0798
rsagroup.com.sg

SHC Insurance Pte. Ltd.
302 Orchard Road
#09-01 Tong Building
Singapore 238862
Telephone
6829 9199
Facsimile
6829 9249
shccapital.com.sg

Singapore Aviation & General Insurance Co Pte Ltd
25 Airline Road
06A Airline House
Singapore 819829
Telephone
6542 3333
Facsimile
6545 0221

Starr International Insurance (Singapore) Pte. Ltd.
10 Collyer Quay
#40-26 & #40-27
Ocean Financial Centre
Singapore 049315
Telephone
6808 6204
starrcompanies.com

Tenet Sompo Insurance Pte. Ltd.
50 Raffles Place
#05-01/06
Singapore Land Tower
Singapore 048623
Telephone
6221 2211
Facsimile
6221 3302
tenetsompo.com.sg

Tokio Marine Insurance Singapore Ltd
20 McCallum Street
#09-01
Tokio Marine Centre
Singapore 069046
Telephone
6221 6111
Facsimile
6221 4355 / 6224 0895
tokiomarine.com.sg

United Overseas Insurance Ltd
3 Anson Rd
#28-01 Springleaf Tower
Singapore 079909
Telephone
6222 7733
Facsimile
6327 3869
uoi.com.sg

XL Insurance Company Ltd Singapore Branch
8 Marina View
#40-03
Asia Square Tower 1
Singapore 018960
Telephone
6603 1200
Facsimile
6603 1201
xlinsurance.com

Zurich Insurance Company Ltd (Singapore Branch)
50 Raffles Place
#29-01
Singapore Land Tower
Singapore 048623
Telephone
6236 2210
Facsimile
6538 4184
zurich.com

Ordinary & Associate Members

Associate Member

Singapore Reinsurers' Association
85 Amoy Street
Singapore 069904
Telephone
6324 7388
Facsimile
6224 8910
sraweb.org.sg

Former Presidents

1966 – 1967 Tan Hoay Gie

1968 – 1968 A.G. Mackenzie

1969 – 1969 A.D. Moodie

1970 – 1970 Maurice C. Lee

1971 – 1971 Tan Hoay Gie

1972 – 1972 A.T. Shimpi

1973 – 1975 Chew Loy Kiat

1976 – 1977 A.T. Shimpi

1978 – 1979 Tan Hoay Gie

1980 – 1981 Hwang Soo Jin

1982 – 1983 Koh Bee Chye

1984 – 1985 Teo Kwang Whee

1986 – 1987 Hwang Soo Jin

1988 – 1989 Koh Bee Chye

1990 – 1991 Peter Lee Bong Soo

1992 – 1993 Peter Yap Kim Kee

1994 – 1995 David Chan Mun Wai

1996 – 1997 Loo Sun Mun

1998 – 1999 Albert Koh

2000 – 2000 Seow Nee Shek

2001 – 2002 Law Song Keng

2003 – 2004 Terence Tan

2005 – 2012 Derek Teo

Former Vice Presidents

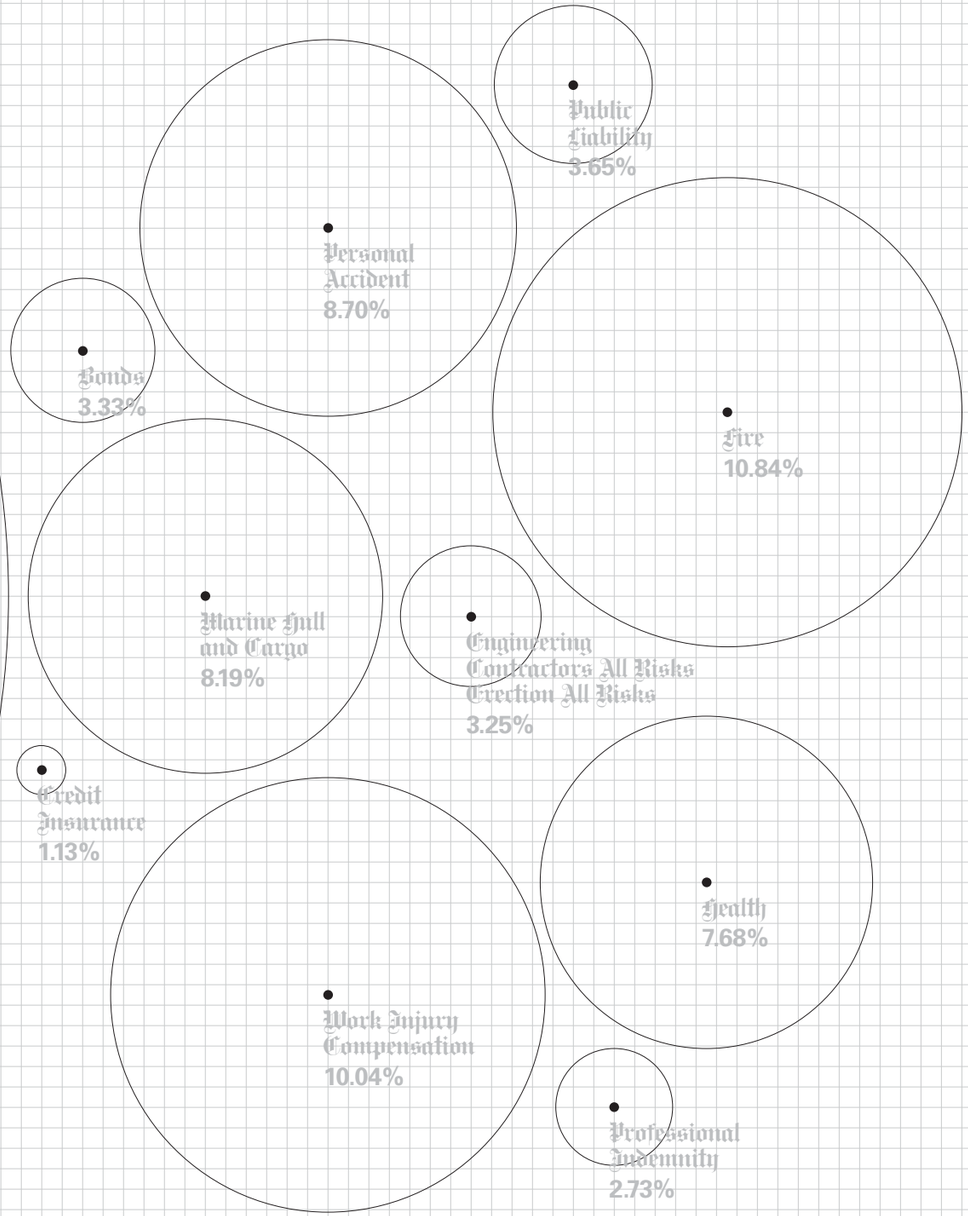
1966 – 1967 = A.E. Sheperd
1967 – 1967 = M.J.S. Newman
1968 – 1968 = Tan Eng Heng
1969 – 1969 = Tan Hoay Gie
1970 – 1970 = D.M. Rae
1970 – 1970 = J.A. Gilmour
1971 – 1971 = J. Pocock
1972 – 1974 = D.J. Collins-Taylor
1975 – 1976 = R.E. Hughes
1977 – 1977 = D.E. Parry
1977 – 1980 = P.J. Rackley
1980 – 1981 = G.L. Ellis
1982 – 1982 = D.S. Wyber
1983 – 1983 = R.G. Dougal
1983 – 1983 = N.F. Seddon
1984 – 1984 = K.F. Jones
1984 – 1986 = S.R. Moffatt
1987 – 1987 = Paul Frankland
1988 – 1991 = Loo Sun Mun
1992 – 1993 = W.J. Perrott
1993 – 1993 = David Chan Mun Wai
1994 – 1995 = Margaret Yang
1996 – 2000 = David Chan Mun Wai
2001 – 2001 = Peter Yap Kim Kee
2002 – 2002 = Neil Emery
2003 – 2005 = Stella Tan
2006 – 2011 = Michael Goodwin
2012 – 2012 = A.K. Cher

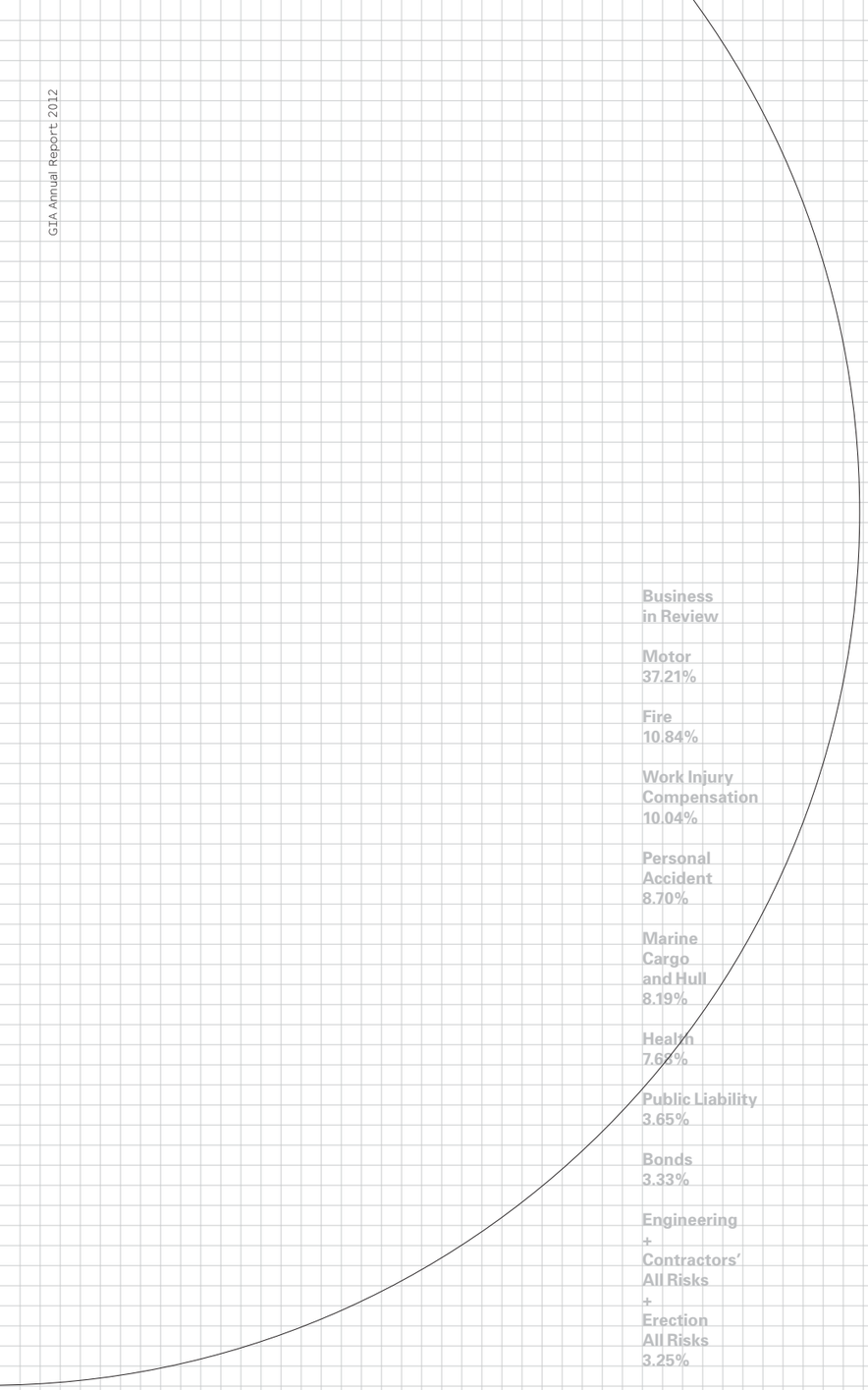
Business in Review

The year 2012 saw the domestic General Insurance industry's total gross premiums go up 5.41% to $3.34 billion from $3.17 billion in the previous year. Net earned premiums stood at $2.35 billion up 6.47% from $2.20 billion in 2011. Underwriting profit grew a robust 15.99% to $288.21 million from $248.48 million.

Led once again by Health, which posted a 21.31% increase in net earned premiums, most classes of business registered growth in 2012. Several specialty lines delivered strong performances, with Bonds reporting the second highest growth in earned premiums at 12.79%, followed by Professional Indemnity at 11.84%.







After making the least growth among the major segments in 2011, Marine Hull delivered 11.51% increase in net earned premium, trailed by Work Injury Compensation with 10.93%. Another specialty class of business that made a strong showing was Public Liability with 10.77% growth. Personal Accident remained steadfast in 2012 at 8.41%, while Engineering/CAR/EAR grew 6.49%. Motor delivered the least growth among the major classes with 3.96%, down from 4.4% in 2011. On the other hand, Credit Insurance, Cargo and Fire saw declines in their net earned premium.

Most lines also reported robust underwriting performances, with Credit Insurance posting a sterling profit growth of 1596.23%, followed by Motor with 135.12% and Public Liability with 93.10%. Three segments recorded declines in their underwriting profits, and they were Fire (-51.72%), Engineering/CAR/EAR (-21.85%), and Personal Accident (-11.99%).

Motor (37.21%)
Motor marked its second consecutive year of stellar underwriting performance since emerging from a loss of $48.9 million in 2010. Affirming its continuous robust recovery and the industry's efforts to contain claims, it delivered a solid profit of $50.36 million, up by 135.12% from the year prior – the second biggest recorded in 2012.

Although stable, Motor's net earned premiums' growth went down from 4.4% in 2011 to 3.96% in 2012 to post $1.13 billion, the least growth among the major classes of business. It was the sixth straight year that the segment had reported stable premium growth.

Fire (10.84%)
The industry's second biggest class of business saw a slight decline of 0.28% to $133.21 million from $133.58 million in its net earned premium. This followed a year that recorded a modest rise of 1.97% in the segment.

Fire's underwriting profit plunged 51.72% to $22.85 million in 2012 – the biggest decline among all classes of business. At the same time, it saw a 29.64% increase in net incurred claims. 2012 marked the second consecutive year of the segment's deteriorating underwriting result, which in 2011 fell 24.7% to $47.3 million from $62.9 million in 2010.

Work Injury Compensation (WIC) (10.04%)
WIC ended another year of stable growth as it posted net earned premium of $269.21 million, up 10.93% from the previous period, the fifth biggest increase among the major lines of business.

After posting the biggest slump in underwriting performance among the major segments in 2011, WIC made a strong comeback with $5.09 million in underwriting profit, up 13% from the previous year's $4.50 million.

Personal Accident (8.70%)
Consistent with the growth seen in 2011, Personal Accident delivered another stable performance in net earned premium, which stood at $219.45 million, an 8.41% increase from the preceding year's $202.42 million.

However, it was dealt another blow in its underwriting performance as it posted an 11.99% decline to $39.61 million from the previous year's $45.01 million. This coincided with the segment's increase in net incurred claims, which went up 29.13% to $73.48 million.

Marine Cargo and Hull (8.19%)
Cargo saw a 5.74% decline in its net earned premium to $71.67 million, following a year of moderate growth of 4.1% to $76 million. Underwriting profit went up 16.15% to $33.59 million from $28.91 million, a reversal of the 19% slump seen in 2011.

Hull delivered $61.38 million in net earned premium from $55.05 million the year before, the fourth strongest growth among the major classes of business at 11.51%. This marked a rebound for the segment from delivering the least growth in 2011 at 0.05%. Underwriting profit grew 6.42% to $13.94 million, a tepid increase compared to the 87.4% rise to 13.1 million seen in 2011.

Health (7.68%)
Health marked another impressive year as it once again made the biggest gain in net earned premium income. It posted growth of 21.31% to $172.01 million from $141.79 million in the previous year. It also remained on a strong track in its underwriting performance, making a profit of $14.05 million, a 66.03% increase over the previous period and representing the fourth biggest gain among all segments.

Public Liability (3.65%)
Public Liability continued its growth trend in 2012 and saw its net earned premium income rise 10.77% to $67.85 million, following an 8.3% growth in 2011.

From an underwriting profit of $12.77 million in 2011, it went on to almost double that figure with a 93.10% increase to $24.65 million. This sealed the segment's position as one of the year's top underwriting performers, a sign of its growing importance in the domestic market.

Bonds (3.33%)
Bonds capped the year with the second best performance in net earned premiums after Health, delivering growth of 12.79% to $70.01 million from $62.07 million in 2011, when it grew 10% in earned premium.

Likewise, underwriting profit shot up 18.34% to $29.80 million from $25.19 million in 2011.

Engineering/Contractors' All Risks/Erection All Risks (3.25%)
After witnessing a 11.6% decrease in net earned premiums, Engineering/CAR/EAR made modest growth of 6.49% to $25.58 million from $24.01 million.

Its underwriting performance tumbled 21.85% to $4.79 million from the prior period's $6.13 million, the second biggest underwriting decline among all segments.

Professional Indemnity (2.73%)
A fast growing segment in the domestic General Insurance industry, Professional Indemnity recorded the third biggest growth in net earned premiums at 11.84%, posting $59 million in income from $52.76 million in 2011. This reflects the increased emphasis on corporate governance and provision of Directors' & Officers' liability.

Similarly, underwriting profit surged 25.15% to $17.95 million, following the segment's record underwriting profit growth of 688.7% to $14.34 million in 2011.

Credit Insurance (1.13%)
Credit Insurance saw another decline in its premium performance as it posted $1.47 million in net earned premiums, down 26.61% from $2 million in the previous year. This followed a 9% decrease in its earned premiums in 2011.

On the other hand, the segment delivered a staggering 1596.23% growth in its underwriting profit, rising from only $64,000 in 2011 to $1.09 million, making it the top underwriting performer of 2012.

Incurred Loss Ratios
The industry slimly cut its incurred loss ratio to 53.9%, down from the 54.9% seen in 2011. This was consistent with improvements recorded since 2009, when the industry trimmed its incurred loss ratio by 5.2% to 58.4%.

Credit Insurance made the biggest slash in its incurred loss ratio by 23.3% to -24.4%, followed by Public Liability with a 16.8% reduction to 26.6%. Cargo also made a notable improvement with 15.7%, down from 22.8% in the previous year. Motor continued to make some progress with 65.7% from 67.8%.

Engineering/CAR/EAR's incurred loss ratio deteriorated by 24.6% to 60.5%, and so did Fire's, from 26.4% in 2011 to 34.3% in 2012. Personal Accident also saw an increase from 28.1% to 33.5%.

Calendar of Events

January		February		March		April	
Monday		Monday		Monday		Monday	
Tuesday		Tuesday		Tuesday		Tuesday	
Wednesday		01 Wednesday		Wednesday		Wednesday	
Thursday		02 Thursday		01 Thursday		Thursday	
Friday		03 Friday		02 Friday		Friday	
Saturday		04 Saturday		03 Saturday		Saturday	
Sunday	01	05 Sunday		04 Sunday		01 Sunday	
Monday	02	06 Monday		05 Monday		02 Monday	
Tuesday	03	07 Tuesday		06 Tuesday		03 Tuesday	
Wednesday	04	08 Wednesday		07 Wednesday		04 Wednesday	
Thursday	05	09 Thursday		08 Thursday		05 Thursday	
Friday	06	10 Friday		09 Friday		06 Friday	
Saturday	07	11 Saturday		10 Saturday		07 Saturday	
Sunday	08	12 Sunday		11 Sunday		08 Sunday	
Monday	09	13 Monday		12 Monday		09 Monday	
Tuesday	10	14 Tuesday		13 Tuesday		10 Tuesday	
Wednesday	11	15 Wednesday		14 Wednesday		11 Wednesday	
Thursday	12	16 Thursday		15 Thursday		12 Thursday	
Friday	13	17 Friday		16 Friday		13 Friday	
Saturday	14	18 Saturday		17 Saturday		14 Saturday	
Sunday	15	19 Sunday		18 Sunday		15 Sunday	
Monday	16	20 Monday		19 Monday		16 Monday	
Tuesday	17	21 Tuesday		20 Tuesday		17 Tuesday	
Wednesday	18	22 Wednesday		21 Wednesday		18 Wednesday	
Thursday	19	23 Thursday		22 Thursday		19 Thursday	
Friday	20	24 Friday		23 Friday		20 Friday	
Saturday	21	25 Saturday		24 Saturday		21 Saturday	
Sunday	22	26 Sunday		25 Sunday		22 Sunday	
Monday	23	27 Monday		26 Monday		23 Monday	
Tuesday	24	28 Tuesday		27 Tuesday		24 Tuesday	
Wednesday	25	Wednesday		28 Wednesday		25 Wednesday	
Thursday	26	Thursday		29 Thursday		26 Thursday	
Friday	27	Friday		30 Friday		27 Friday	
Saturday	28	Saturday		31 Saturday		28 Saturday	
Sunday	29	Sunday		Sunday		29 Sunday	
Monday	30	Monday		Monday		30 Monday	
Tuesday	31	Tuesday		Tuesday		Tuesday	

02 Feb NUS Career Fair



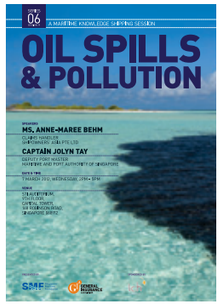
08 Feb ACR/GIA CSR

09 Feb IDA International Custom Day

10 Feb NTU Career Fair



07 Mar Maritime Knowledge Shipping Session 19



16 Mar SMU Profiling Talk

20 Mar NTU Internship Fair

27 Mar GIA Annual General Meeting



02 Apr SAS Actuarial Career Fair



16 Apr BOLA Briefing

20 Apr A Visit to Raffles Museum of Biodiversity Research

24 Apr Opening Launch of Sea Asia 2013

NO face

May

		Monday
01		Tuesday
02		Wednesday
03		Thursday
04		Friday
05		Saturday
06		Sunday
07		Monday
08	**May** AIC Mid Year Meeting	Tuesday
09		Wednesday
10		Thursday
11		Friday
12		Saturday
13		Sunday
14	**May** GIP Pre Internship Training	Monday
15	**May** GIP Pre Internship Training	Tuesday
16	**May** GIP Pre Internship Training	Wednesday
17	**May** GIP Pre Internship Training	Thursday
18	**May** GIP Pre Internship Training GIP Cocktail Reception	Friday





19		Saturday
20		Sunday
21		Monday
22		Tuesday
23		Wednesday
24		Thursday
25		Friday
26		Saturday
27		Sunday
28		Monday
29		Tuesday
30	**May** Maritime Knowledge Shipping Session 20	Wednesday
31		Thursday
		Friday
		Saturday
		Sunday
		Monday
		Tuesday



June

		Monday
		Tuesday
		Wednesday
		Thursday
01	**Jun** Breakfast Talk on the Role of Actuaries	Friday
02		Saturday
03		Sunday
04		Monday
05		Tuesday
06		Wednesday
07		Thursday
08		Friday
09		Saturday
10		Sunday
11		Monday
12		Tuesday
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14		Thursday
15	**Jun** The 2nd Maritime Networking Night	Friday

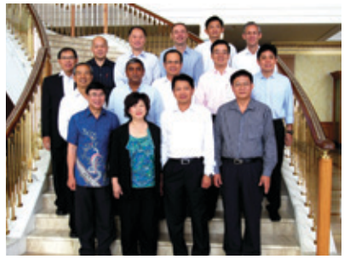




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July

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01		Sunday
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03		Tuesday
04	**Jul** GIAB/GIA/PIAM	Wednesday
05	**Jul** GIAB/GIA/PIAM	Thursday
06	**Jul** GIAB/GIA/PIAM	Friday





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24		Tuesday
25	**Jul** Combating Insurance Fraud Seminar	Wednesday
26	**Jul** Combating Insurance Fraud Seminar	Thursday



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29		Sunday
30		Monday
31		Tuesday

August

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15	**Aug** POs Mid Year Gathering	Wednesday
16		Thursday
17		Friday
18		Saturday
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29	**Aug** Maritime Knowledge Shipping Session 21	Wednesday
30		Thursday
31		Friday
		Saturday
		Sunday
		Monday
		Tuesday



September

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05 Sep The 2nd Fire Safety Seminar





October

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05 Oct Swing for Charity 2012



12 Oct SMU Networking Event

19 Oct GI Day – Futsal Match



29 Oct EAIC (50th Year)

30 Oct EAIC (50th Year)

31 Oct EAIC (50th Year)

November

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07 Nov Maritime Knowledge Shipping Session 22



21 Nov Special General Meeting

December

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29	Saturday
30	Sunday
31	Monday
	Tuesday

07 Dec GIA Appreciation Night



12 Dec ASEAN Insurance Council Meeting

13 Dec ASEAN Insurance Council Meeting

14 Dec ASEAN Insurance Council Meeting

02
Heart

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36—43

A deeply ingrained passion for our purpose and industry propels us towards excellence. While we are privileged to enjoy opportunities to connect with like-minded peers, we are also heartened by our ability to give back and help shape our community.

Head

heart

Heart

Hands

01

Swinging Into the 7th Year for Charity







Now an entrenched tradition, the GIA Swing for Charity event once again garnered strong support from the industry and generated more than $120,000 for two charitable organisations: the Kidney Dialysis Foundation and the Singapore Cancer Society. This brought the total amount raised by the golf charity event over the past seven years to more than $760,000, benefiting nine charitable organisations.

Around 140 industry professionals turned up at Tanah Merah Country Club's Garden Course to tee-off for a good cause.

Swing for Charity

Date
05 Oct
Location
Tanah Merah Country Club

Now an entrenched tradition, the GIA Swing for Charity event once again garnered strong support from the industry and generated more than $120,000 for two charitable organisations.



02

Futsal Fun on GI Day

From the bowling lanes in 2011 to the futsal field in 2012 – the industry celebrated GI Day on 19 October 2012 with "The Great GIA Futsal Fever"! Chartis FC beat 15 other participating teams to bring home the winner's trophy and a $2,000 cash prize. The runners-up and first runners-up were MIG Force (a combined team of interns from MAS and GIA) and The Avivians. The Golden Boot Award also went to Mr. Rick Png from Aviva Ltd.

More than just fun and competition, the match brought on greater camaraderie among industry players and practitioners and gave them a chance to do charity work by raising $10,000 for the ASSISI Hospice.





More than just a competition and good fun, the match brought on greater camaraderie among industry players and practitioners.

GI Day

Date
19 Oct
Location
Golazo Futsal



The donation was made to support RMBR's efforts to build a natural history museum and conserve the country's natural heritage.



03

Donating to Conserve



Donating to Conserve

Date
20 Apr
Location
Raffles Museum of Biodiversity Research, NUS

In a bid to do its part for the community, GIA teamed up with one of its members, India International Insurance, to donate $3,200 to the NUS Raffles Museum of Biodiversity Research (RMBR). The donation was made to support RMBR's efforts to build a natural history museum and conserve the country's natural heritage. GIA members have been invited to attend a half-day trip to RMBR in April to learn about its work.

More than 150 practitioners from both GI and maritime industries gathered once again in 2012 for a night of networking.

04

Maritime Networking Night



Maritime Networking Night

Date
15 Jun
Location
J Bar, M Hotel

Following 2011, more than 150 practitioners from both GI and maritime industries gathered once again in 2012 for a night of networking organised by the GIA and Singapore Maritime Foundation.

GIA took the opportunity to encourage companies interested in talent building to join the MAS-funded Global Internship Programme (GIP) to train and employ young professionals in the marine sector.





The region's biggest biennial industry event took place in Kuala Lumpur in 2012. Marking its 50th founding anniversary, the 26th East Asian Insurance Congress (EAIC) made the call for the transformation of East Asian insurers. It also urged the industry to address its problem of low public perception and to take pride in its role in society.

GIA President Derek Teo, Singapore's Chief Delegate to the 26th EAIC, presented highlights from the country's Life and General Insurance markets in 2011/2012.

GIA also actively participated in discussions aimed at charting the future of the EAIC as it looked to play a bigger role in transforming the East Asian insurance industry.

Since then, GIA has been responding to the call at the Congress for associations like itself to lead efforts in shaping the industry and improve the perception and stature of insurance in society.

05

EAIC on its 50th Founding Anniversary



GIA President Derek Teo, Singapore's Chief Delegate to the 26th EAIC, presented the 2011/2012 highlights of the Singapore Life and General Insurance markets.

26th East Asian Insurance Congress

Date
29—31 Oct
Location
Kuala Lumpur, Malaysia

06

Liaison Meeting in Brunei Darussalam



The annual liaison meeting in 2012 between GIA, the General Insurance Association of Brunei (GIAB) and Persatuan Insurans Am Malaysia (PIAM) focused on motor insurance; particularly the issues of passenger liability cover for vehicles entering Malaysia/Brunei and outstanding recovery issues with Malaysian insurers.

GIA also shared its own concerns relating to motor insurance and gave its views on how else the three associations can boost their cooperation and work on matters of common interest.

GIA also shared its own concerns relating to motor insurance and gave its views on how else the three associations can boost their cooperation and work on matters of common interest.

GIAB/GIA/PIAM Annual Liaison Meeting

Date
04—06 Jul
Location
Empire Hotel & Country Club, Brunei

07

One with ASEAN

After hosting the ASEAN Insurance Council Meeting (AIC) in 2011, GIA flew to Bangkok in December 2012 for the 38th AIC. There, delegates discussed issues facing the ASEAN insurance industry such as solvency margin, capital requirements, contract certainty, microinsurance and taxes. As the region prepares for economic integration in 2015, there were calls for markets to seize the opportunities as well as tackle the challenges that the ASEAN Economic Community would bring.

Before the 38th AIC, the AIC Secretariat held its mid-year meeting in Singapore in May as a follow-up to the 37th council meeting hosted by Singapore in 2011. It was attended by the Director & Chief Economist of the ASEAN Integration monitoring office, the AIC Secretary General, the AIC Senior Advisor, and representatives from 11 life and General Insurance associations of member countries.

Delegates discussed issues facing the ASEAN insurance industry such as solvency margin, capital requirements, contract certainty, microinsurance and taxes.

ASEAN Insurance Council Meeting

Date
12—14 Dec
Location
Bangkok, Thailand



Photo: Devin Kho

03
Hands

Pages
44—61

Testament to GIA's distinction is our continually remarkable efforts in knowledge building, skills enhancement and talent moulding. Through collaborations, seminars and other on ground activities, our education and engagement initiatives are empowering people to grow from strength to strength.

Head

hands

Heart

Hands



01

Combating Insurance Fraud

Combating Insurance Fraud Seminar

Date
25—26 Jul
Location
Copthorne Waterfront Hotel

Recognising that Singapore could immensely learn from other countries in tackling this "quiet catastrophe", GIA invited speakers from the US and Europe to share their expertise and experiences in combating insurance fraud.

GIA took another step forward in its efforts to facilitate greater industry knowledge sharing and cooperation by organising the inaugural Combating Insurance Fraud Seminar in July.

Recognising that Singapore could immensely learn from other countries in tackling this "quiet catastrophe", GIA invited speakers from the US and Europe to share their expertise and experiences in combating insurance fraud. Among the expert speakers were top officials from the National Insurance Crime Bureau, International Association of Special Investigation Units and Coalition against Insurance Fraud in the US.

The seminar was an eye-opener for many participants as they learned how challenging an issue insurance fraud had become in other countries and how crucial it was for the Singapore GI industry to tackle the problem promptly.

Graced by Guest of Honour Ms Luz Foo, Executive Director of the Insurance Department at MAS, the seminar attracted more than 130 insurance practitioners and professionals from member companies. It was the first of GIA's many planned activities to foster better understanding of insurance fraud both within the industry and among its stakeholders; and to address the issue through more education efforts, strengthened and close cooperation among member companies and various agencies, and constant monitoring of the issue.
















COMBATING
INSURANCE
FRAUD
SEMINAR
2012
25 & 26
JULY
GENERAL
INSURANCE


COMBATING
INSURANCE
FRAUD
SEMINAR
2012
25 & 26
JULY











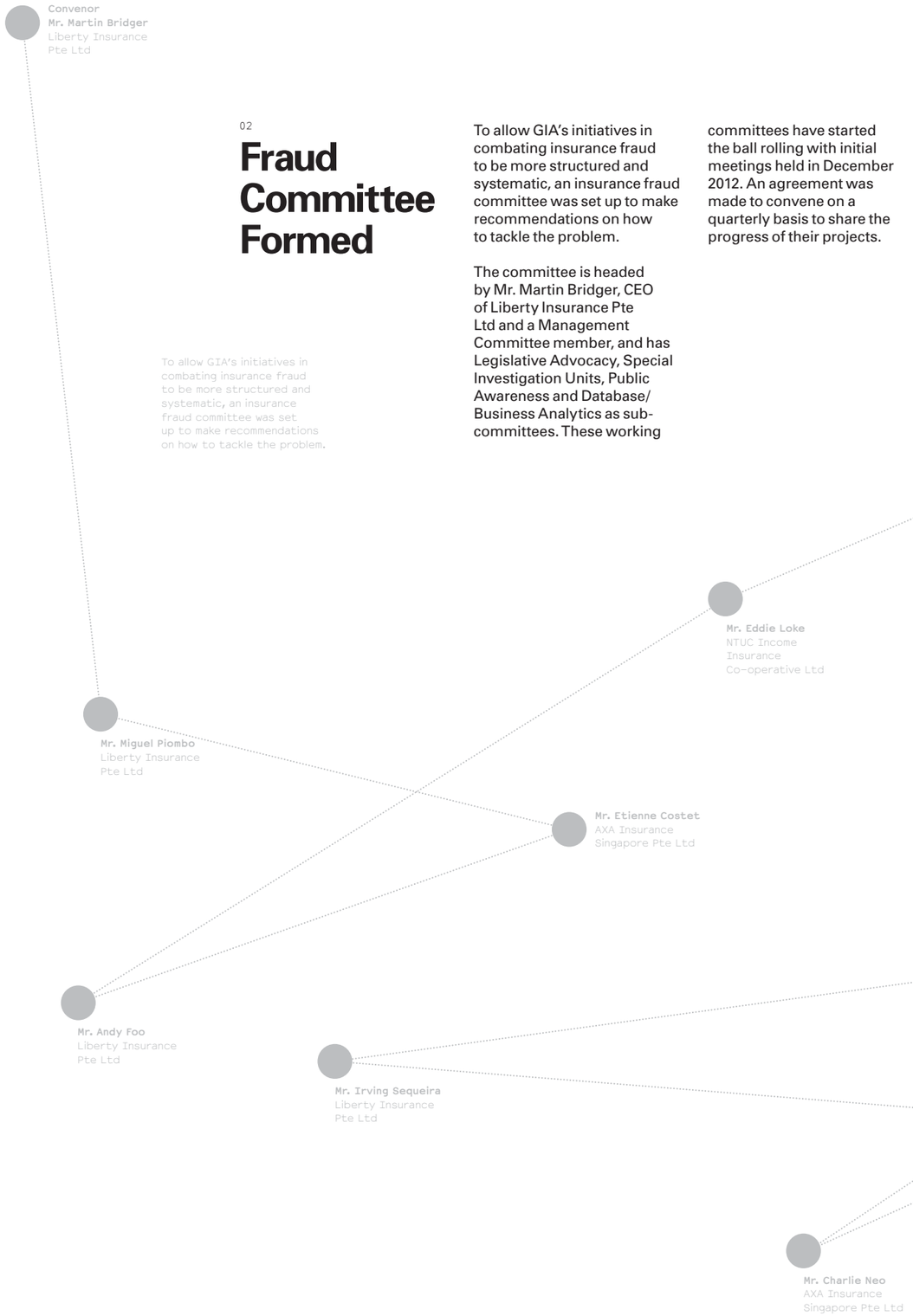
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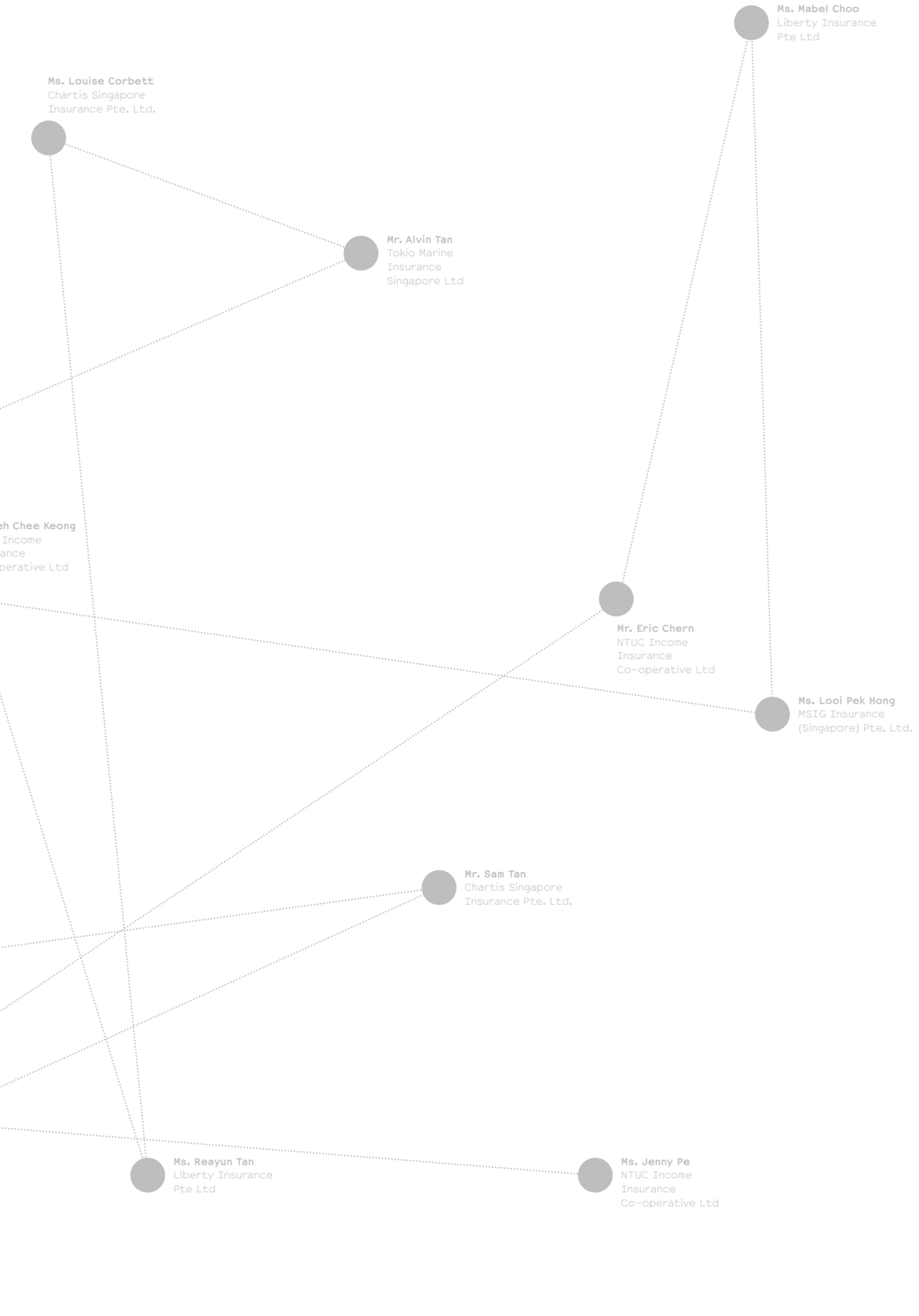
Fraud Committee Formed

To allow GIA's initiatives in combating insurance fraud to be more structured and systematic, an insurance fraud committee was set up to make recommendations on how to tackle the problem.

To allow GIA's initiatives in combating insurance fraud to be more structured and systematic, an insurance fraud committee was set up to make recommendations on how to tackle the problem.

The committee is headed by Mr. Martin Bridger, CEO of Liberty Insurance Pte Ltd and a Management Committee member, and has Legislative Advocacy, Special Investigation Units, Public Awareness and Database/ Business Analytics as sub-committees. These working committees have started the ball rolling with initial meetings held in December 2012. An agreement was made to convene on a quarterly basis to share the progress of their projects.





Review System Protocol Framework

With the increasing number of observations, mostly in the media, noting insurers' lapses in handling motor and travel insurance claims, the GIA Management Committee decided it was timely to review the Singapore General Insurance Code of Practice (COP). A survey of member companies was conducted to establish the need to fine-tune the COP and identify specific areas of improvement. Covering the period from 1 January to 31 December 2012, the survey's findings are expected to provide GIA with useful information in monitoring members' compliance with the standards and to identify how services to customers can be further improved.

The findings are expected to be out in the first half of 2013.

03

Time to Review

With the increasing number of observations, mostly in the media, noting insurers' lapses in handling motor and travel insurance claims, the GIA Management Committee decided it was timely to review the Singapore General Insurance Code of Practice (COP).

The Barometer of Liability Agreement (BOLA) centralised online system has gone "live" since 1 May 2012. The system simplifies the workflow of the recovery process with all processes audited and transparent. It allows for better management of claims settlement and more efficient recoveries. Statistics can be generated for management information or underwriting decisions, and for an overall assessment of the effectiveness of BOLA for submission to MAS.

All deliberations and decisions by the Panel of Adjudicators on various cases are archived to help them deal with future disputed cases consistently and effectively. Members can also refer to archived cases to help them resolve disputes with other members.

The BOLA Workgroup had reviewed the existing BOLA Agreement and Chart to improve the clarity of rules and exclusions and make application easier for members. New common scenarios have been added to the existing BOLA Chart, with some variations of existing scenarios to cater to different and totally new situations. The new guide took effect on 1 May 2012.

04

BOLA System Now Online

The system simplifies the workflow of the recovery process with all processes audited and transparent. It allows for better management of claims settlement and more efficient recoveries.

The Personal Injury (Single Joint Expert) Scheme became effective since 22 November 2012. In recognition of the specialists who agreed to join the panel, the Subordinate Courts formally appointed them at a ceremony in the same month.

The protocol aims to manage and resolve the differences in opinions of specialists appointed by the insurer and the claimant. GIA hopes the scheme will speed up the settlement of claims where the general damages are less than $20,000.

05

Personal Injury (Single Joint Expert) Protocol in Effect

The protocol aims to manage and resolve the differences in opinions of specialists appointed by the insurer and the claimant.

Also in May 2012, reporting centres and authorised workshops signed agreements with motor insurers, formalising their appointments as Authorised Reporting Centres (ARCs) and confirming the rules that will regulate them.

The ARC Agreement prohibits, among other things, the setting up of "buddy" workshops to submit inflated third party claims, and bars ARCs from assisting tout workshops in e-filing accident reports.

GIA will process any complaints made against an ARC. If the ARC has breached any of the agreement, its e-filing facilities will be withdrawn and its appointment terminated.

06

Framework for Appointing ARCs Set

Reporting centres and authorised workshops signed agreements with motor insurers, formalising their appointments as Authorised Reporting Centres (ARCs) and confirming the rules that will regulate them.

07

Fire Safety at Work

Following the success of the inaugural Fire Education Seminar Series in 2011, GIA held its second seminar, “Fire Safety & Workplace Accidents” in September 2012.

The series, organised in collaboration with the Singapore Civil Defence Force (SCDF) and the National Fire and Civil Emergency Preparedness Council (NFEC), aims to help GI practitioners gain deeper insights into fire safety measures and learn from relevant case studies on workplace accidents. Once again, the seminar attracted a strong turnout of 138 participants.





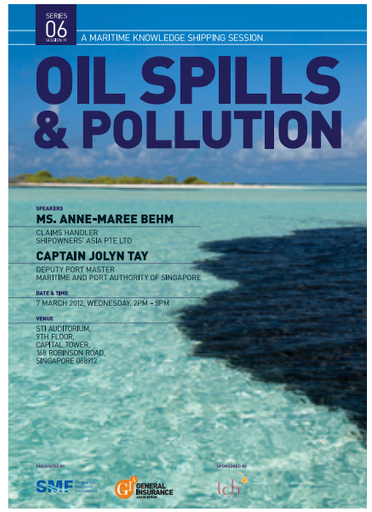


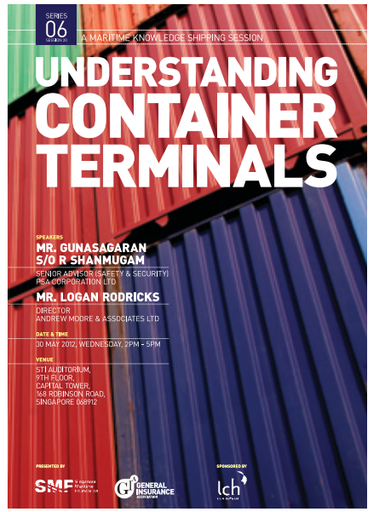


The series [...] aims to help GI practitioners gain deeper insights into fire safety measures and learn from relevant case studies on workplace accidents.

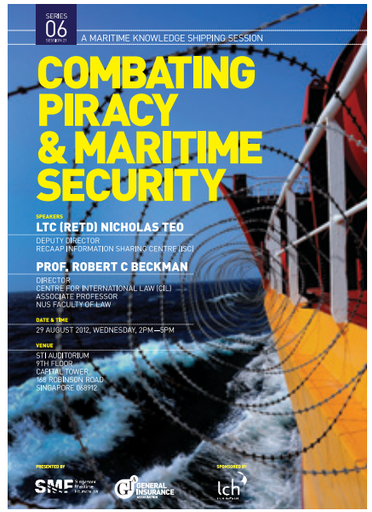
Fire Safety Seminar

Date
05 Sep
Location
STI Auditorium, Capital Tower









MKSS Session 19

Date
07 Mar
Location
STI Auditorium, Capital Tower

MKSS Session 20

Date
30 May
Location
STI Auditorium, Capital Tower

MKSS Session 21

Date
29 Aug
Location
STI Auditorium, Capital Tower

MKSS Session 22

Date
07 Nov
Location
STI Auditorium, Capital Tower

The maritime session has been a particularly important initiative for GIA, not only for the fact that marine is a major segment for the GI business, but also for Singapore's continuous effort to develop itself as an international maritime centre.

08

Maritime Knowledge Sharing Sails on for the Sixth Year

One of GIA's most steadfast partners in industry knowledge sharing has been the Singapore Maritime Foundation (SMF), with which it has been organising the Maritime Knowledge Shipping Session. In 2012, GIA and SMF marked the sixth year of this partnership, a testament to the continuing importance of the quarterly session for both the maritime and shipping, and General Insurance industries.

The maritime session has been a particularly important initiative for GIA, not only for the fact that marine is a major segment for the GI business, but also for Singapore's continuous effort to develop itself as an international maritime centre. It also found greater relevance in 2012 as the maritime and shipping industry continued to face the effects of weak economic conditions and recover from the impact of the natural catastrophes in 2011.

GIA and SMF would also like to thank our greatest sponsor, L.C.H. (S) Pte Ltd for their strong support and generosity throughout the years.

AGENT NAME

AGENT IDENTITY CARD

NOMINEE NO. EXPIRY DATE

PRINCIPAL(S)

AGENCY NAME

GENERAL INSURANCE ASSOCIATION

TERMS AND CONDITIONS OF USE:

- This card is to be on display at all times when transacting General Insurance business.
- This card is only valid for the period that is stated.
- This card is non-transferable.
- A fee of $10 will be charged for replacement of the card due to loss or defacement.

This card is the property of the General Insurance Association of Singapore. If found, please return to:

180 CECIL STREET, #07-02
BANGKOK BANK BUILDING
SINGAPORE 069546

T: (65) 6221-8788 F: (65) 6227-2051

WWW.GIA.ORG.SG UEN: S66SS0020G

This move will provide Singapore customers added protection when buying General Insurance products, as the identity cards will help customers easily identify licensed and registered agents

09

Agent Identity Card Launched

In line with an industry-wide effort to build a stronger culture of transparency and accountability among insurance intermediaries, GIA launched the Agent Identity Card (AIC) in 2012.

Since 1 January 2013, agents of member companies are required to have an AIC before they can conduct business with clients.

This move will provide Singapore customers added protection when buying General Insurance products, as the identity cards will help customers easily identify licensed and registered agents who are better equipped to offer product advice.

10

Nurturing and Building Talent



Statistics from a post-GIP evaluation report revealed the following:

95%
Interns:

Clear indication of GIP helping to define a career path in General Insurance

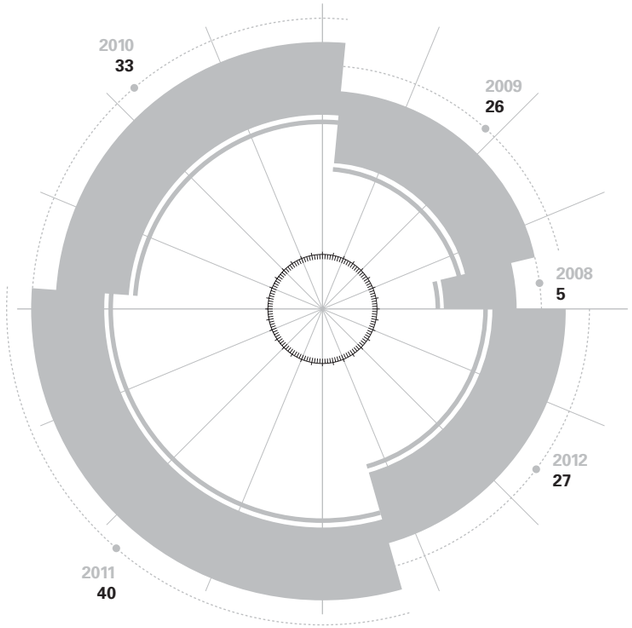
100%
Interns:

Would recommend GIP to their peers

97%
Host Companies:

Positive rating of GIP experience

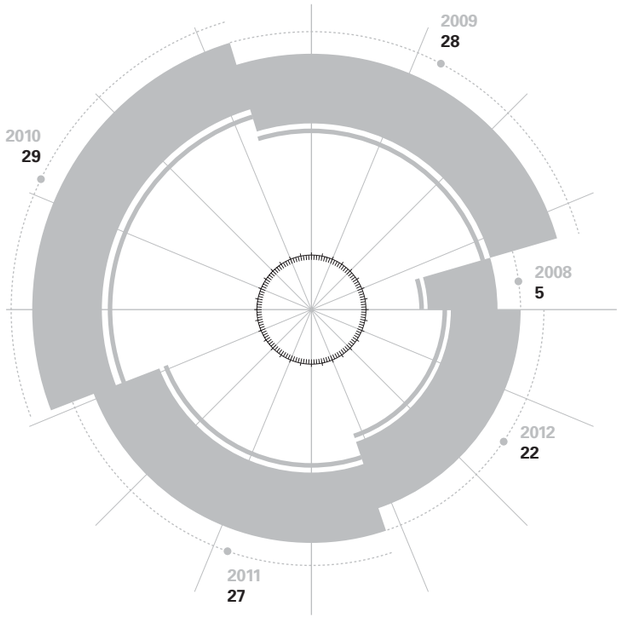
Interns
2008–2012



The Global Internship Programme (GIP) marked its fifth year with 27 interns successfully completing their stints in 22 host companies. Among these companies, four are participating in GIP for the first time – EQ Insurance Company Limited, DAC Beachcroft LLP, Partner Reinsurance Europe Plc Singapore Branch and PWS East Asia Pte Ltd.

This brought to 131 the total number of interns who have gone through the programme since its launch in 2008. As of September 2012, 28 of these interns had joined the General Insurance industry as full-fledged employees, demonstrating GIP's effectiveness as a recruitment platform for the industry and an inexpensive means to assess talent competency.

Host Companies
2008–2012





Career Fair Poster for GIP

Likewise, GIA carried on with its Talent Outreach Project to help boost the industry's profile and highlight career opportunities in the industry. We conducted career-profiling talks at Nanyang Technological University and Yishun Junior College, and launched the "Insurance Leaders Talk" series together with the Monetary Authority of Singapore (MAS) to draw the interest of graduating students. In October, we also participated in Singapore Management University's networking event, which was held to connect talent-scouting organisations to at least 250 undergraduates.

GIA also participated in career fairs at the National University of Singapore and Nanyang Technological University to raise students' awareness of the GI industry and give them a clear view of the career options available to them. The fairs gave GIP ex-interns an opportunity to share their valuable experiences with their schoolmates and encourage them to sign up for the programme.



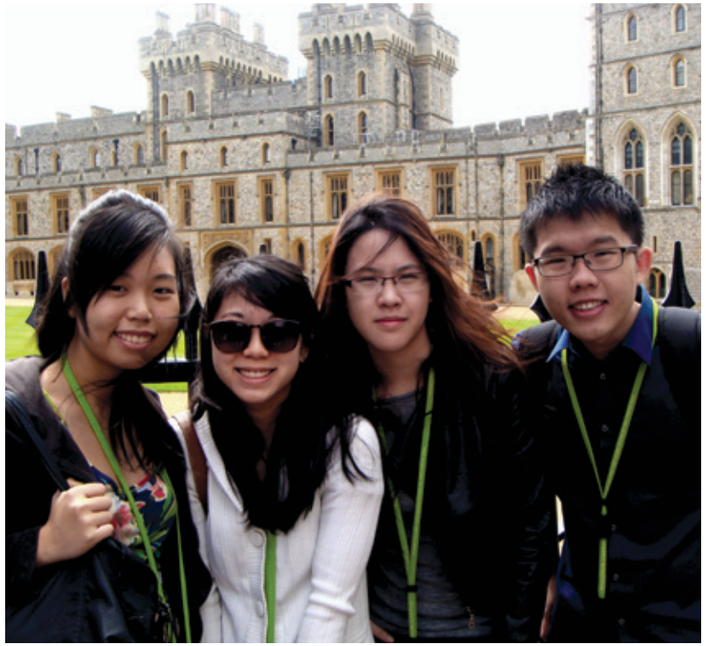














General Insurance
Association
of Singapore

Financial
Statements
for the year
ended
31 Dec 2012

Statement of Financials



Reflecting a solid year of steadfast performance yielded with a prudent outlook, we present a report card of our finances.

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02 Statement by the Management Committee
03 Report of the Independent Auditors to the Members of GIA
05 Statement of Financial Position
06 Income & Expenditure Statement
09 Statement of Comprehensive Income
09 Statement of Changes in Funds
10 Statement of Cash Flows
11 Notes to the Financial Statements

Statement by the Management Committee

General Insurance Association of Singapore
(UEN: S66SS0020G)

In our opinion, the accompanying financial statements of the General Insurance Association of Singapore (the "Association") set out on pages 5 to 30 are properly drawn up in accordance with the provision of the Society Act, Cap.311, Constitution of the Association and Singapore Financial Reporting Standards, so as to give a true and fair view of the state of affairs of the Association as at 31 December 2012 and of the results, changes in funds and cash flows of the Association for the financial year then ended on that date.

on behalf of the Management Committee,

Singapore, 18 March 2013



Derek Teo
President



A. K. Cher
Vice President

Independent Auditors' Report to the Members of General Insurance Association of Singapore

Report on the Financial Statements

We have audited the accompanying financial statements of General Insurance Association of Singapore (the "Association"), which comprise the statement of financial position as at 31 December 2012, and the income and expenditure statement, statement of comprehensive income, statement of changes in fund and statement of cash flows for the year then ended, and a summary of significant accounting policies and other explanatory notes as set out on pages 5 to 30.

Management Committee's Responsibility for the Financial Statements

The Management Committee is responsible for the preparation of financial statements that give a true and fair view in accordance with the position of the Society Act, Cap.311, Constitution of the Association and Singapore Financial Reporting Standards, and for devising and maintaining a system of internal accounting controls sufficient to provide a reasonable assurance that assets are safeguarded against loss from unauthorised use or disposition; and transactions are properly authorised and that they are recorded as necessary to permit the preparation of true and fair income and expenditure statement and balance sheet and to maintain accountability of assets.

Auditors' Responsibility

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with Singapore Standards on Auditing. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation of the financial statements that give a true and fair view in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by the Management Committee, as well as evaluating the overall presentation of the financial statements.

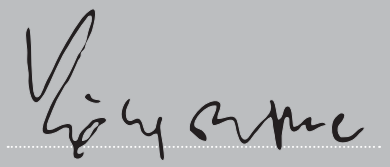
We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the financial statements are properly drawn up in accordance with the Society Act, Cap. 311, Constitution of the Association and Singapore Financial Reporting Standards, so as to give a true and fair view of the state of affairs of the Association as at 31 December 2012 and of the results, changes in funds and cash flows of the Association for the financial year then ended on that date.

Report on Other Legal and Regulatory Requirements

In our opinion, the accounting and other records required by the regulations enacted to Societies Act, Cap. 311 to be kept by the Association have been properly kept in accordance with those regulations.



Kreston David Yeung Pac
Public Accountants &
Certified Public Accountants

128A Tanjong Pagar Road
Singapore 088535
Telephone: 6223 7979
Facsimile: 6222 7979

Singapore, 18 March 2013

Statement of Financial Position

Statement of Financial Position as at 31 December 2012
The notes set out on pages 11–30 form an integral part of and should be read in conjunction with this set of financial statements.

Assets

	Note	GIA 2012 S$	GIARMC 2012 S$	Total 2012 S$	2011 S$
Non-Current Assets					
Plant and Equipment	3	71,430	–	71,430	108,050
Current Assets					
Trade Receivables	4	14,604	60,602	75,206	82,651
Other Receivables		27,891	1,509	29,400	46,711
Receivable from GIARMC		–	–	–	11,088
Receivable from GIA		–	101,190	101,190	–
Deposits		49,989	–	49,989	115,438
Prepayments		36,375	286	36,661	89,011
Cash and Cash Equivalents		340,736	258,374	599,110	188,325
Total Current Assets		**469,595**	**421,961**	**891,556**	**533,224**
Total Assets		**541,025**	**421,961**	**962,986**	**641,274**

Funds & Liabilities

	Note	GIA 2012 S$	GIARMC 2012 S$	Total 2012 S$	2011 S$
Funds					
Accumulated Funds		363,636	315,696	679,332	528,285
Current Liabilities					
Trade Payables		39,538	91,280	130,818	58,721
Accruals		28,008	14,985	42,993	37,462
Deposit Recieved in Advance		3,074	–	3,074	–
Other Payables		5,579	–	5,579	5,718
Amount Due to GIARMC		101,190	–	101,190	–
Amount Due to GIA		–	–	–	11,088
Provision for Taxation		–	–	–	–
Total Current Liabilities		**177,389**	**106,265**	**283,654**	**112,989**
Total Liabilities		**177,389**	**106,265**	**283,654**	**112,989**
Total Funds and Liabilities		**541,025**	**421,961**	**962,986**	**641,274**

Income and Expenditure Statement

Income and Expenditure Statement for the year ended 31 December 2012
The notes set out on pages 11–30 form an integral part of and should be read in conjunction with this set of financial statements.

Income

	Note	GIA 2012 S$	GIARMC 2012 S$	Total 2012 S$	Total 2011 S$
Accident Reports		–	334,727	334,727	324,481
Agents' Registration Fees		658,065	–	658,065	680,589
Agents' Search Fee		12	217,690	217,702	60
Brochures and Decal Income		(1,430)	–	(1,430)	1,338
Client Third Party Insurer Enquiry Income		–	196,826	196,826	172,956
Gain on Disposal of Plant and Equipment		–	–	–	935
GIA Swing for Charity		89,177	–	89,177	61,827
IUMI Registration Fee		3,196	–	3,196	3,461
Levies on Ordinary Members		1,203,115	–	1,203,115	1,284,489
MAS Funding on Global Internship Programme		245,625	–	245,625	15,271
Motor-Barometer of Liability (BOLA)		6,272	–	6,272	514
Motor Insurance Seminar		26,400	–	26,400	4,560
Other Income		–	–	–	1,657
Reimbursement from Motor Insurers' Bureau		15,696	–	15,696	20,777
Reimbursement from Financial Sector Development Fund		14,003	–	14,003	–
Reimbursement on TOP-GIP		7,020	–	7,020	–
Repairers and Surveyors Searches		–	–	–	217,130
Singapore Insurance Institute / Singapore Liability and Casualty Conference		–	–	–	6,808
Sponsorship – Singapore Maritime Foundation		18,527	–	18,527	20,766
Other Income		10,207	–	10,207	–
		2,295,886	**749,243**	**3,045,129**	**2,817,619**
Less: Expenditure (Page 7)		**(2,392,758)**	**(501,324)**	**(2,894,082)**	**(2,738,941)**
(Deficit)/Surplus Before Taxation		**(96,872)**	**247,919**	**151,047**	**78,678**
Less: Taxation	5	–	–	–	12,095
Net (Deficit)/Surplus for the Year		**(96,872)**	**247,919**	**151,047**	**90,773**

Income and Expenditure Statement

Income and Expenditure Statement for the year ended 31 December 2012
The notes set out on pages 11–30 form an integral part of and should be read in conjunction with this set of financial statements.

Expenditure

	Note	GIA 2012 S$	GIARMC 2012 S$	Total 2012 S$	Total 2011 S$
45th Anniversary Expenses		5,713	–	5,713	9,333
Accounting Services Fee		10,786	26,400	37,186	34,700
Advertisement		–	–	–	60,487
Agents' Registration Board Expenses		84,532	–	84,532	32,134
Auditors' Remuneration		4,441	2,000	6,441	7,000
Bank Charges		1,395	1,055	2,450	1,764
Computerisation Services	6.1	183,054	–	183,054	173,376
Data Storage		–	1,440	1,440	1,422
Depreciation of Plant and Equipment	3	44,352	–	44,352	30,233
Electricity		4,494	–	4,494	4,855
Entertainment and Refreshment		10,378	–	10,378	5,909
Expenses Incurred on GIA/PIAM/GIAB Liaison Meeting		9,941	–	9,941	4,635
General Expenses		5,376	100	5,476	516
General Insurance Day		30,985		30,985	14,509
GIA Annual Report		35,000	–	35,000	35,000
GIA Appreciation Night		17,989	–	17,989	17,454
GIA Newsletter		20,295	–	20,295	23,929
GIA Swing for Charity Expenses		84,181	–	84,181	62,182
GIA Website		49,199	–	49,199	31,473
Insurance Expenses		17,230	–	17,230	13,023
Internet Expenses		1,624	–	1,624	8,220
IUMI Conference Expenses		–	–	–	3,491
Key Management Remuneration	6.2	601,355	–	601,355	487,806
Legal and Professional Fees		–	23,682	23,682	3,230
Management Fees	6.3	–	412,532	412,532	363,985
Medical Expenses		3,584	–	3,584	3,276
Meetings and Seminars	6.4	119,996	–	119,996	157,243
Miscellaneous Expenses		13,153	–	13,153	14,594
Motor Expenses		50,180	–	50,180	139,045
Newspapers and Publications		525	–	525	523
Office Cleaning		4,800	–	4,800	7,753
Office Moving Cost		–	–	–	17,650
Office Rental and Services		184,478	–	184,478	244,104

Income and Expenditure Statement

Income and Expenditure Statement for the year ended 31 December 2012
The notes set out on pages 11–30 form an integral part of and should be read in conjunction with this set of financial statements.

	Note	GIA 2012 S$	GIARMC 2012 S$	Total 2012 S$	Total 2011 S$
Payroll Services		10,620	–	10,620	11,070
Photocopier Rental and Printing Expenses		6,344	–	6,344	7,960
Plant and Equipment Written off		–	–	–	188
Postages		443	2,400	2,843	2,887
Principal Officers' Social Gathering		8,001	–	8,001	6,436
Printing and Stationery		20,041	2,049	22,090	12,809
Property Expenses		–	–	–	3,633
Marine Expenses		50,584	–	50,584	44,181
Public Relations Consultancy		69,132	–	69,132	69,132
Public Education		–	27,181	27,181	–
Recruit Agency Fees		–	–	–	–
Regional Development Committee Expenses	6.5	185,611	–	185,611	183,016
Repair and Maintenance		3,545	2,312	5,857	–
Risk Management Expenses		–	–	–	–
Singapore Insurance Institute/Singapore Liability & Casualty Conference		–	–	–	9,901
Sponsorships/Donations	6.6	48,000	–	48,000	71,350
Special Risks Pool – Legal Fees		–	–	–	–
Sport and Recreation		120	–	120	–
Staff Costs	6.7	272,831	–	272,831	197,282
Subscriptions	6.8	8,342	–	8,342	9,005
Talent Outreach Project		63,026	–	63,026	71,199
Tax Service Fee		10,503	–	10,503	5,425
Team Building Activities Expenses		9,629	–	9,629	6,826
Telecommunication		4,663	173	4,836	5,317
Transportation		5,262	–	5,262	2,168
Upkeep of Office Equipment and Software		–	–	–	850
Warehousing		2,544	–	2,544	2,290
Work Injury, Personal Accident and Health		14,481	–	14,481	1,162
		2,392,758	**501,324**	**2,894,082**	**2,738,941**

Statement of Comprehensive Income

Statement of Changes in Funds

Statement of Comprehensive Income
for the year ended 31 December 2012

Statement of Changes in Funds
for the year ended 31 December 2012
The notes set out on pages 11—30 form an integral part of and should be read in conjunction with this set of financial statements.

Comprehensive Income

	GIA 2012 S$	GIARMC 2012 S$	Total 2012 S$	2011 S$
Net Surplus/(Deficit) for the Year (Page 6)	(96,872)	247,919	151,047	90,773
Other Comprehensive Income	–	–	–	–
Total Comprehensive Income for the Year	**(96,872)**	**247,919**	**151,047**	**90,773**

Changes in Funds

	GIA S$	GIARMC S$	Total S$
Balance as at 01.01.2011	320,646	116,866	437,512
Total Comprehensive Income for the Year	(220,138)	310,911	90,773
Transfer of Fund from/(to)	360,000	(360,000)	–
Balance as at 31.12.2011/01.01.2012	460,508	67,777	528,285
Total Comprehensive Income for the Year	(96,872)	247,919	151,047
Balance as at 31.12.2012	**363,636**	**315,696**	**679,332**

Statement of Cash Flows

Statement of Cash Flows
for the year ended 31 December 2012
The notes set out on pages 11—30 form an integral part of and should be read in conjunction with this set of financial statements.

Cash Flows

	2012 S$	2011 S$
Cash Flows from Operating Activities:–		
Net Surplus/(Deficits) Before Taxation	151,047	78,678
Adjustments For:–		
Depreciation of Plant and Equipment	44,352	30,233
Gain on Disposal of Plant and Equipment	–	(935)
Plant and Equipment Written Off	–	188
Operating Surplus Before Changes of Working Capital	**195,399**	**108,164**
Changes of Working Capital:–		
Decrease/(Increase) in Trade and Other Receivables	142,555	(146,472)
Increase/(Decrease) in Trade and Other Payables	80,563	(46,408)
Cash Generated from/(Used in) Operating Activities	**418,517**	**(84,716)**
Income Tax Paid	–	–
Income Tax Refunded	–	1,237
Net Cash Generated from/(Used in) Operating Activities	**418,517**	**(83,479)**
Cash Flows from Investing Activities		
Purchase of Plant and Equipment	(7,732)	(112,205)
Proceeds from Disposal of Plant and Equipment	–	935
Net Cash Used in Investing Activities	**(7,732)**	**(111,270)**
Net Increase/(Decrease) in Cash and Cash Equivalents	**410,785**	**(194,749)**
Cash and Cash Equivalents at the Beginning of the Year	**188,325**	**383,074**
Cash and Cash Equivalents at the End of the Year	**599,110**	**188,325**

Notes to the Financial Statements 31 December 2012

Note 01 : General

The General Insurance Association of Singapore is registered under the Societies Act, Chapter 311. The registered office is located at 180 Cecil Street #07-02, Bangkok Bank Building, Singapore 069546.

The principal activities of the Association relate to the protection, promotion, advancement and the doing of all things in furtherance of the common interests of members and the General Insurance industry.

The financial statement of the Association for the year ended 31 December 2012 were authorised for issue in accordance with a resolution by the Management Committee on 18 March 2013.

The financial statements of the Association are expressed in Singapore dollar (S$ or SGD).

Note 02 : Significant Accounting Policies

A •
Basis of Preparation
The financial statements of the Association have been prepared in accordance with the historical cost convention, except as disclosed in the accounting policies below, and are drawn up in accordance with the provisions of the Singapore Financial Reporting Standards ("FRS").

In the current financial year, the Association has adopted all the new and revised FRS and Interpretations of FRS ("INT FRS") that are relevant to its operations and effective for annual periods beginning on or after 1 January, 2012. The adoption of these new/ revised FRSs and INT FRSs have no material effect on the financial statements.

B •
Significant Accounting Estimates and Judgements
Estimates, assumption concerning the future and judgements are made in the preparation of the financial statements. They affect the application of the Association's accounting policies, reporting amounts of assets, liabilities, income and expenses and disclosures made. They are assessed on an on-going basis and are based on experience and relevant factors, including expectations of future events that are believed to be reasonable under the circumstances.

The critical accounting estimates and assumptions used and areas involving a high degree of judgement are described below.

Critical Assumptions Used in Accounting Estimates in Applying Accounting Policies

Income Tax
The Association recognises liabilities for expected tax issues based on estimates of whether additional tax will be due. When the final tax outcome of these matters is different from the amounts that were initially recognised, such differences will impact the income tax and deferred tax provisions in the period in which such determination is made.

Useful Lives of Plant and Equipment
As described in Note 2(c) to the financial statements, the Association reviews the estimated useful lives of plant and equipment at the end of each annual reporting period. The estimated useful lives reflect the Management's estimation of the periods that the Association intends to derive future economic benefits from the use of the Association's plant and equipment. Changes in the expected level of usage and the residual values of these assets, therefore future depreciation charges could be revised.

The carrying amount of plant and equipment as at the end of the reporting period are disclosed in Note 3 to the financial statements.

Critical Judgements Made in Applying Accounting Policies

In the process of applying the entity's accounting policies, management had made the following judgements that have the most significant effect on the amounts recognised in the financial statements.

Allowance Account for Credit Losses
The Association makes allowances account for credit losses based on assessment of the recoverability of trade and other receivables. Allowances are applied to trade and other receivables where events or changes in circumstances indicate that the balances may not be collectible. The identification of bad and doubtful debts required the use of judgement and estimates. Where the expected outcome is different from the original estimate, such difference will impact carrying value of trade and other receivables and doubtful debt expenses in the period in which such estimate had been made.

Impairment of Plant and Equipment
The Association assesses annually whether plant and equipment have any indication of impairment in accordance with the accounting policy. The recoverable amounts of plant and equipment have been determined based on value-in-use calculations. These calculations require the use of judgement and estimates.

C •
Plant and Equipment
All items of plant and equipment are initially recorded at cost. Such cost includes the cost of replacing part of the plant and equipment. The cost of an item of plant and equipment is recognised as an asset if, and only if, it is probable that future economic benefits associated with the item will flow to the Association and the cost of the item can be measured reliably.

Subsequent to recognition, plant and equipment are measured at cost less accumulated depreciation and any accumulated impairment losses.

Depreciation is calculated on a straight-line method so as to write off the costs of the plant and equipment over their estimated useful live as follows:–

Office Equipment	3 years
Computers	3 years
Furniture and Fittings	3 years
Renovation	3 years

The carrying values of plant and equipment are reviewed for impairment when events or changes in circumstances indicate that the carrying value may not be recoverable.

The residual values, useful live and depreciation method are reviewed at each financial year-end to ensure that amount, method and period of depreciation are consistent with previous estimates and

the expected pattern of consumption of the future economic benefits embodied in the items of plant and equipment.

An item of plant and equipment is derecognised upon disposal or when no future economic benefits are expected from its use or disposal. Any gain or loss arising on derecognition of the asset is included in the income and expenditure statement in the year the asset is derecognised.

D •
Cash and Cash Equivalents
Cash and cash equivalents comprise cash in hand and at bank which are readily convertible to known amounts of cash and subject to insignificant risk of changes in value.

E •
Financial Assets

Initial Recognition and Measurement

Financial assets are recognised on the statement of financial position when, and only when, the Association becomes a party to the contractual provisions of the financial instrument. The Association determines the classification of its financial assets at initial recognition.

When financial assets are recognised initially, they are measured at fair value, plus, in the case of financial assets not at fair value through income and expenditure statement, directly attributable transaction costs.

Subsequent Measurement

Loans and Receivables
Non-derivative financial assets with fixed or determinable payments that are not quoted in an active market are classified as loans and receivables. Subsequent to initial recognition, loans and receivables are measured at amortised cost using the effective interest method, less impairment. Gains and losses are recognised in income and expenditure statement when the loans and receivables are derecognised or impaired, and through the amortisation process.

The Association classified the following financial assets as loans and receivables:

— Cash and cash equivalents
— Trade and other receivables

Derecognition

A financial asset is derecognised where the contractual right to receive cash flows from the asset has expired. On derecognition of a financial asset in its entirety, the difference between the carrying amount and the sum of the consideration received and any cumulative gain or loss that had been recognised in other comprehensive income is recognised in income and expenditure statement.

All regular way purchases and sales of financial assets are recognised or derecognised on the trade date, i.e the date that the Association commits to purchase or sell the asset. Regular way purchases or sales are purchases or sales of financial assets that require delivery of assets within the period generally established by regulation or convention in the marketplace concerned.

F •
Impairment of Financial Assets
The Association assesses at the end of each reporting period whether there is any objective evidence that a financial asset is impaired.

Financial Assets Carried at Amortised Cost
For financial assets carried at amortised cost, the Association first assesses individually whether objective evidence of impairment exists individually for financial assets that are individually significant, or collectively for financial assets that are not individually significant. If the Association determines that no objective evidence of impairment exists for an individually assessed financial assets, whether significant or not, it includes the asset in a group of financial assets with similar credit risk characteristics and collectively assesses them for impairment. Assets that are individually assessed for impairment and for which an impairment loss is, or continues to be recognised are not included in a collective assessment of impairment.

If there is objective evidence that an impairment loss on financial assets carried at amortised cost has incurred, the amount of the loss is measured as the difference between the asset's carrying amount and the present value of estimated future cash flows discounted at the financial asset's original effective interest rate. If a loan has a variable interest rate, the discount rate for measuring any impairment loss is the current effective interest rate. The carrying amount of the asset is reduced through the use of an allowance account. The impairment loss is recognised in income and expenditure statement.

When the asset becomes uncollectible, the carrying amount of impaired financial assets is reduced directly or if an amount was charged to the allowance account, the amounts charged to the allowance account are written off against the carrying value of the financial asset.

To determine whether there is objective evidence that an impairment loss on financial assets has incurred, the Association considers factors such as the probability of insolvency or significant financial difficulties of the debtor and default or significant delay in payments.

If in a subsequent period, the amount of the impairment loss decreases and the decrease can be related objectively to an event occurring after the impairment was recognised, the previously recognised impairment loss is reversed to the extent that the carrying amount of the asset does not exceed its amortised cost at the reversal date. The amount of reversal is recognised in income and expenditure statement.

G •
Financial Liabilities

Initial Recognition and Measurement

Financial liabilities are recognised on the statement of financial position when, and only when, the Association becomes a party to the contractual provisions of the financial instrument. The Association determines the classification of its financial liabilities at initial recognition.

All financial liabilities are recognised initially at fair value and in the case of financial liabilities, plus, directly attributable transaction costs.

Subsequent Measurement

After initial recognition, financial liabilities are subsequently measured at amortised cost using the effective interest method. Gains and losses are recognised in income and expenditure statement when the liabilities are derecognised, and through the amortisation process.

Derecognition

A financial liability is derecognised when the obligation under the liability is discharged or cancelled or expired. When an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange

or modification is treated as a derecognition of the original liability and the recognition of a new liability, and the difference in the respective carrying amounts is recognised in income and expenditure statement.

H •
Impairment of Non-Financial Assets
The Association assesses at the end of each reporting period whether there is an indication that an asset may be impaired. If any such indication exists, or when annual impairment testing for an asset is required, the Association makes an estimate of the asset's recoverable amount.

An asset's recoverable amount is the higher of an asset's or cash-generating unit's fair value less costs to sell and its value in use and is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets. In assessing value in use, the estimated future cash flows expected to be generated by the asset are discounted to their present value. When the carrying amount of an asset exceeds its recoverable amount, the asset is written down to its recoverable amount. Impairment losses are recognised in the income and expenditure statement except for assets that are previously revalued where the revaluation was taken to other comprehensive income. In this case, the impairment is also recognised in other comprehensive income up to the amount of any previous revaluation.

An assessment is made at the end of each reporting period as to whether there is any indication that previously recognised impairment losses may no longer exist or may have decreased. A previously recognised impairment loss is reversed only if there has been a change in the estimates used to determine the asset's recoverable amount since the last impairment loss was recognised. If that is the case, the carrying amount of asset is increased to its recoverable amount. That increased amount cannot exceed the carrying amount that would have been determined, net of depreciation, had no impairment loss been recognised previously. Such reversal is recognised in the income and expenditure statement unless the asset is measured at revalued amount, in which case the reversal is treated as a revaluation increase.

I •
Contingencies
A contingent liability is:–

(a) a possible obligation that arises from past events and whose existence will be confirmed only by the occurrence or non occurrence of one or more uncertain future events not wholly within the control of the Association;

or

(b) a present obligation that arises from past events but is not recognised because:

i) It is not probable that an outflow of resources embodying economic benefits will be required to settle the obligation;

or

ii) The amount of the obligation cannot be measured with sufficient reliability.

A contingent asset is a possible asset that arises from past events and whose existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the Association.

Contingent liabilities and assets are not recognised on the statement of financial position of the Association, except for contingent liabilities assumed in a business combination that are present obligations and which the fair values can be reliably determined.

J •
Provisions
Provisions are recognised when the Association has a present obligation (legal or constructive) as a result of a past event, it is probable that an outflow of economic resources will be required to settle the obligation and the amount of the obligation can be estimated reliably.

Provisions are reviewed at the end of each reporting period and adjusted to reflect the current best estimate. If it is no longer probable that an outflow of economic resources will be required to settle the obligation, the provision is reversed.

K •
Income Recognition
Income is recognised to the extent that it is probable that the economic benefits will flow to the Association and the revenue can be reliably measured. Income is measured at the fair value of consideration received or receivable.

Income from accident and search reports is recognised when the significant risks and rewards of ownership have been transferred to the buyers.

Agents' registration fees received by the Association are credited to the income and expenditure statement over the period of the registration.

The entrance fee is recognised in full in the year in which new members are admitted.

Interest income is recognised using the effective interest method.

L •
GIA Records Management Centre (GIARMC)
On 1 May 1999, a Market Agreement was entered into with members of the Association to operate the Non-Injury Motor Accident Reports Scheme.

In connection with the Scheme, the GIA Records Management Centre (the Centre) was established for the purpose of the archival and retrieval of records.

The Association has appointed Merimen Technologies (Singapore) Pte Ltd as the manager to provide the staff and facilities to the Centre. Beside that they also keep and maintain the accounting records and bank account for the Centre. Merimen Technologies (Singapore) Pte Ltd will charge the Association according to the monthly contracted rates for the services rendered.

M •
Income Taxes

Current Income Tax

Current income tax assets and liabilities for the current and prior periods are measured at the amount expected to be recovered from or paid to the taxation authorities. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted by the end of the reporting period, in the countries where the Association operates and generates taxable surplus.

Current income taxes are recognised in income and expenditure statement except to the extent that the tax relates to items recognised outside income and expenditure statement, either in other comprehensive income or directly in equity. Management periodically evaluates positions taken in the tax returns with respect to situations in which applicable tax regulations are

subject to interpretation and establishes provisions where appropriate.

Deferred Tax

Deferred tax is provided using the liability method on temporary differences at the end of the reporting period between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes.

Deferred tax assets and liabilities are recognised for all taxable temporary differences, except:

— Where the deferred tax relating to the deductible temporary difference arises from the initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable surplus or deficit;

and

— In respect of deductible temporary differences and carry-forward of unused tax credits and unused tax losses, if it is not probable that taxable surplus will be available against which the deductible temporary difference and carry-forward of unused tax credits and unused tax losses can be utilised.

The carrying amount of deferred tax assets is reviewed at the end of each reporting period and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax asset to be utilised. Unrecognised deferred tax assets are reassessed at the end of each reporting period and are recognised to the extent that it has become probable that future taxable surplus will allow the deferred tax asset to be recovered.

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply in the year when the asset is realised or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted at the end of each reporting period.

Deferred tax relating to items recognised outside income and expenditure statement is recognised outside income and expenditure statement. Deferred tax items are recognised in correlation to the underlying transaction either in other comprehensive income or directly in equity.

Deferred tax assets and deferred tax liabilities are offset, if a legally enforceable right exists to set off current income tax assets against current income tax liabilities and the deferred income taxes relate to the same taxable entity and the same taxation authority.

Sales Tax

Income, expenses and assets are recognised net of the amount of sales tax except:

— Where the sales tax incurred in a purchase of assets or services is not recoverable from the taxation authority, in which case the sales tax is recognised as part of the cost of acquisition of the asset or as part of the expense item as applicable;

and

— Receivables and payables that are stated with the amount of sales tax included.

The net amount of sales tax recoverable from, or payable to, the taxation authority is included as part of receivables or payables in the statement of financial position.

N •
Functional and Foreign Currency

Functional Currency

The management has determined the currency of the primary economic environment in which the Association operates i.e. functional currency, to be SGD. Sales prices and major costs of providing goods and services including major operating expenses are primarily influenced by fluctuations in SGD.

Transactions and Balances

Transactions in foregin currencies are measured in the functional currency of the Association and are recorded on initial recognition in the functional currency at exchange rates approximating those ruling at the transaction dates. Monetary assets and liabilities denominated in foreign currencies are translated at the rate of exchange ruling at the end of the reporting period. Non-monetary items that are measured in terms of historical cost in a foreign currency are translated using the exchange rates as at the dates of the initial transactions. Non-monetary items measured at fair value in a foreign currency are translated using the exchange rates at the date when the fair value was determined.

Exchange differences arising on the settlement of monetary items or on translating monetary items at the end of the reporting period are recognised in income and expenditure statement in the period in which they arise.

O •
Employee Benefits

Defined Contribution Plan

As required by law, the Association makes contributions to the Central Provident Fund (CPF). CPF contributions are recognised compensation as expenses in the same period as the employment that gives rise to the contribution.

Employee Leave Entitlements

Employee entitlements to annual leave are recognised when they accrue to employees. Accrual is made for the unconsumed leave as a result of services rendered by employees up to the end of the reporting period.

P •
Key Management Personnel
Key management personnel are those having authority and responsibility for planning, directing and controlling the activities of the Association. The executive director and managers are considered as key management personnel of the Association.

Q •
Leases – As Lessee
Leases where the lessor effectively retains substantially all the risks and benefits of ownership of the leased item are classified as operating leases. Operating lease payments are recognised as an expense in the income and expenditure statement on a straight-line basis over the lease term.

Note 03
Plant and Equipment

Note 03 : Plant and Equipment

Cost	Office Equipment S$	Computers S$	Furniture & Fittings S$	Renovation S$	Total S$
At 01.01.2011	15,998	363,262	150,078	19,185	548,523
Additions	7,091	2,100	1,500	101,514	112,205
Written Off	(5,319)	(42,670)	(146,473)	(19,185)	(213,647)
At 31.12.2011/01.01.2012	**17,770**	**322,692**	**5,105**	**101,514**	**447,081**
Additions	1,138	4,756	1,838	–	7,732
At 31.12.2012	**18,908**	**327,448**	**6,943**	**101,514**	**454,813**
Accumulated Depreciation					
At 01.01.2011	14,488	338,839	150,078	18,852	522,257
Charge for the Year	1,187	18,461	125	10,460	30,233
Written Off	(5,131)	(42,670)	(146,473)	(19,185)	(213,459)
At 31.12.2011/01.01.2012	**10,544**	**314,630**	**3,730**	**10,127**	**339,031**
Charge for the Year	2,973	6,530	1,011	33,838	44,352
At 31.12.2012	**13,517**	**321,160**	**4,741**	**43,965**	**383,383**
Net Book Value					
At 31.12.2012	**5,391**	**6,288**	**2,202**	**57,549**	**71,430**
At 31.12.2011	**7,226**	**8,062**	**1,375**	**91,387**	**108,050**

Note 04
Trade Receivables

Note 04 : Trade Receivables

Trade receivables are non–interest bearing and are generally on immediate to about 30 days term. They are recognised at their original invoiced amounts which represent their fair values on initial recognised. These receivables are unsecured and the analysis of their aging at the end of the reporting period is as follows:–

Trade Receivables	GIA 2012 S$	GIARMC 2012 S$	Total 2012 S$	Total 2011 S$
Not Past Due	2,461	56,898	59,359	57,575
Past Due 1–30 Days	2,641	3,244	5,885	8,325
Past Due 31–60 Days	1,956	140	2,096	8,424
Past Due More Than 60 Days	7,546	320	7,866	8,327
	14,604	**60,602**	**75,206**	**82,651**

The trade receivables that are past due at the end of the reporting period but not impaired amounting to S$15,847 (2011: S$25,076).

Note 05
Taxation

Note 05 : Taxation

Taxation

	2012 S$	2011 S$
Provision for Income Tax in Respect of the Financial Year:–		
Current Year Income Tax	–	–
Overprovision in Prior Years	–	(12,095)
	–	**(12,095)**

The income tax expense on the results for the financial year varies from the amount of income tax determined by applying the Singapore standard rate of income tax to surplus before taxation due to the following factors: –

	2012 S$	2011 S$
Surplus Before Taxation	**151,047**	**78,678**
Tax Calculated at a Tax Rate of 17%	25,678	13,375
Expenses Not Deductible for Tax Purposes	18,775	22,296
Income Not Subject to Tax	(30,912)	(16,613)
Overprovision in Prior Years	–	(12,095)
Deferred Tax Assets at Beginning of Year	(5,525)	(9,971)
Deferred Tax Assets at End of Year	–	5,525
Enhanced Claim	(6,620)	(14,612)
Others	(1,396)	–
	–	**(12,095)**

As at the end of the reporting period, the Association had unabsorbed donation of approximately S$29,320 (2011: S$133,000) which is available for offsetting against its future taxable income subject to agreement with the Comptroller of Income Tax and compliance with the relevant provisions of Singapore Income Tax Act. No deferred tax asset is recognised due to uncertainty of its recovery.

Note 06
Expenditure

Note 06 : Expenditure

6.1 Computerisation Services

	2012 S$	2011 S$
Agents' Registration and CPD Management System (ARCM) Expenses Consist of:–		
– Hard/Software	9,470	–
– Hardware Maintenance	34,900	31,700
– Meeting and Seminar	300	775
– Litigation Monitoring Services	4,200	4,550
– Storage Fee	1,269	1,396
– Change Request	3,575	9,925
– System Support	31,000	31,000
– Hosting Services	91,140	84,560
General Expenses (IT Support)	7,200	9,470
	183,054	**173,376**

6.2 Key Management's Remuneration

	2012 S$	2011 S$
Salaries and Other Costs	559,034	454,800
Employer's Contribution to CPF	42,321	33,006
	601,355	**487,806**

6.3 Management Fees

Amount paid/payable to Merimen Technologies (Singapore) Pte Ltd S$412,532 (2011: S$363,985) for managing the day-to-day affairs of the Association, as disclosed in Note 2(L) to the financial statements.

Note 06 : Expenditure (Continued)

6.4 Meetings & Seminars

	2012 S$	2011 S$
Annual General Meeting	15,692	14,906
ASEAN Insurance Council (AIC) Meeting	6,134	110,489
East Asian Insurance Congress (EAIC) Meeting	10,769	–
Meeting and Seminar	4,217	31,848
Insurance Fraud Seminar	83,184	–
	119,996	**157,243**

6.5 Regional Development Committee Expenses

	2012 S$	2011 S$
Global Internship Programme	185,611	182,830
Courier and Postage	–	186
	186,611	**183,016**

6.6 Sponsorships/Donations

	2012 S$	2011 S$
Association of Singapore Insurance Agents – Golf Day	–	4,000
CASE 45th Anniversary GALA Dinner 2011	–	2,500
Children's Aid Society	–	15,000
Kidney Dialysis Foundation/Singapore Cancer Society	15,000	–
National University of Singapore Museum Fund	3,000	5,000
National Crime Prevention Council Charity Golf Tournament	5,000	5,000
National Crime Prevention Council 30th Anniversary GALA Dinner 2011	–	5,000
National Fire and Civil Emergency Preparedness Council (NFEC)	–	6,050
Singapore College of Insurance	–	1,800
Singapore Insurance Institute (SII)	5,000	5,000
Singapore Road Safety Council Anti-Drink Drive Campaign 2011	–	22,000
The Institute of Banking and Finance	20,000	–
	48,000	**67,350**

Notes to the Financial Statements
31 December 2012

Note 06
Expenditure (Continued)

Note 06 : Expenditure (Continued)

6.7 Staff Costs

	2012 S$	2011 S$
Salaries and Other Costs	235,240	171,588
Employer's Contribution to CPF	37,591	25,694
	272,831	**197,282**

6.8 Subscriptions

	2012 S$	2011 S$
ASEAN Insurance Council (AIC)	1,985	1,998
International Union of Maritime Insurance (IUMI)	6,357	7,007
	8,342	**9,005**

Note 07 : Operating Lease Commitments

The Association leases Office premises and equipment under non-cancellable operating leases agreement. None of these leases included contingent rent. Office and equipment rental expenses for the financial year were S$184,478 (2011: S$244,104) and S$6,344 (2011: S$7,960) respectively. Future minimum rentals under non-cancellable leases are as follows as of 31 December:-

Operating Lease Commitments	2012 S$	2011 S$
Amount Due Within 1 Year	190,362	190,362
Amount Due Within 2 and 5 Years	177,035	367,397
	367,397	**557,759**

Note 08 : Financial Instruments

Financial Risk Management Objective and Policies
The main risks arising from the Association's financial instruments are credit risk, interest rate risk, foreign currency risk and liquidity risk. The Association does not use derivative and other instruments in its risk management activities. The Association does not hold, use or issue derivative financial instruments for trading purposes. The Management Committee reviews and agrees policies for managing each of these risks and these risks are summarised below:

Credit Risk
The main credit risk is from any default by its trade receivables. The Association grants credit only to credit-worthy counter parties. Management Committee also closely monitors all outstanding debts and reviews the collectability of receivables periodically. The Association does not identify any specific concentration of credit risk with regard to the receivables balances resemble a large number of receivables from a large number of members.

Cash and cash equivalents are deposited in financial institutions with high rating.

The carrying amount of financial assets recorded in the financial statements, net of any provision for losses, represents the Association's maximum exposure to credit risk without taking into account of the value of any collateral or other security obtained.

Interest Rate Risk
The Association's exposure to market risk for changes in interest rates relates primarily to the Association's bank balance. However, as at year end, the exposure is insignificant.

Foreign Currency Risk
The Association's operational activities are carried out in Singapore dollar. All transactions are paid for in local currency. There is no exposure to any risk arising from movements in foreign currencies exchange rates as the Association has no transactions in foreign currency.

Liquidity Risk
In the management of liquidity risk, the Association monitors and maintains a level of cash and bank balances deemed adequate by the Management Committee to finance the Association's operations and mitigate the effects of fluctuations in cash flows.

Note 09 : Categories of Financial Instruments

The following table sets out the financial instruments as at the end of the reporting period:–

Assets	2012 S$	2011 S$
Financial Assets		
Loans and Receivables:–		
Trade Receivables	75,206	82,651
Other Receivables and Deposits	79,389	162,149
Cash and Cash Equivalents	599,110	188,325
	753,705	**433,125**

Liabilities	2012 S$	2011 S$
Financial Liabilities		
At Amortised Costs:–		
Trade Payables	130,818	58,721
Other Payables	5,579	5,718
Accruals	42,993	37,462
Deposit Received in Advance	3,074	–
	182,464	**101,901**

Note 10 : Fair Value

The carrying amount of financial assets and financial liabilities recorded in the financial statements represents their respective fair values, determined in accordance with the accounting policies disclosed in Note 2 to the financial statements.

Note 11 : FRS and INT FRS Not Yet Adopted

The Association has not applied the following Standards and Interpretations that have been issued but not yet effective:

Description		Effective for Annual Periods Beginning on or After
Revised FRS 19	Employee Benefits	1 January 2013
Revised FRS 27	Separate Financial Statements	1 January 2014
Revised FRS 28	Investments in Associates and Joint Ventures	1 January 2014
FRS 110	Consolidated Financial Statements	1 January 2014
FRS 111	Joint Arrangements	1 January 2014
FRS 112	Disclosure of Interests in Other Entities	1 January 2014
FRS 113	Fair Value Measurements	1 January 2013
Amendments to FRS 1	Presentation of Items of Other Comprehensive Income	1 July 2012
Amendments to FRS 32	Offsetting of Financial Assets and Financial Liabilities	1 January 2014
Amendments to FRS 101	Government Loans	1 January 2013
Amendments to FRS 107	Disclosures-offsetting of Financial Assets and Financial Liabilities	1 January 2013
Amendments to FRS 110	Consolidated Financial Statements	1 January 2014
FRS 111 and FRS 112	Joint Arrangements and Disclosure of Interests in Other Entities: Transition Guidance	1 January 2014

The initial application of these Standards, Amendments and Interpretations are not expected to have any material impact on the Association's financial statements.

The Association has not considered the impact of Accounting Standards issued after the reporting period.

Design : &Larry

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